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CONSULTING, LLC

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GASB STATEMENT NO. 68 REPORT

FOR THE

TEACHERS' RETIREMENT SYSTEM

OF THE STATE OF KENTUCKY

PREPARED AS OF JUNE 30, 2022





Cavanaugh Macdonald

CONSULTING, LLC

The experience and dedication you deserve

April 28, 2023

Board of Trustees
Teachers' Retirement System of the
State of Kentucky
479 Versailles Road
Frankfort, KY 40601-3800

Members of the Board:

Presented in this report is information to assist the Teachers' Retirement System of the State of Kentucky (TRS) in meeting the requirements of the Governmental Accounting Standards Board (GASB) Statement No. 68 and to identify the information to be provided by the actuary, Cavanaugh Macdonald Consulting (CMC). This report has been prepared as of June 30, 2022 (the Measurement Date).

GASB Statement Number 68 established accounting and financial reporting requirements for governmental employers that provide pension benefits to their employees through a trust.

The annual actuarial valuation used as a basis for much of the information presented in this report was performed as of June 30, 2021. The valuation was based upon data, furnished by the TRS staff, for active, inactive and retired members along with pertinent financial information. While not verifying data at the source, the actuary performed tests for consistency and reasonableness.

In order to prepare the results in this report, we have utilized actuarial models that were developed to measure liabilities and develop actuarial costs. These models include tools that we have produced and tested, along with commercially available valuation software that we have reviewed to confirm the appropriateness and accuracy of the output. In utilizing these models, we develop and use input parameters and assumptions about future contingent events along with recognized actuarial approaches to develop the needed results.

The actuarial calculations were performed by qualified actuaries according to generally accepted actuarial principles and practices, as well as in conformity with Actuarial Standards of Practice issued by the Actuarial Standards Board. The calculations are based on the current provisions of the Plan, and on actuarial assumptions that are, internally consistent and individually reasonable based on the actual experience of the Plan. In addition, the calculations were completed in compliance with the laws governing the Plan and, in our opinion, meet the requirements of GASB 68. The undersigned are members of the American Academy of Actuaries and meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained herein.



Board of Trustees
April 28, 2023
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These results are only for financial reporting and may not be appropriate for funding purposes or other types of analysis. Calculations for purposes other than satisfying the requirements of GASB 67 and GASB 68 may produce significantly different results. Future actuarial results may differ significantly from the current results presented in this report due to such factors as changes in plan experience or changes in economic or demographic assumptions.

Sincerely yours,

A handwritten signature in blue ink that reads 'Edward J. Koebel'.

Edward J. Koebel, EA, FCA, MAAA
Chief Executive Officer

A handwritten signature in blue ink that reads 'Alisa Bennett'.

Alisa Bennett, FSA, EA, FCA, MAAA
President

A handwritten signature in blue ink that reads 'Cathy Turcot'.

Cathy Turcot
Principal and Managing Director



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Section I – Introduction

The Governmental Accounting Standards Board issued Statement No. 68 (GASB 68), *“Accounting and Financial Reporting For Pensions”* in June 2012. The Teachers’ Retirement System of the State of Kentucky (TRS) is a cost-sharing multiple employer defined benefit pension plan.

This report, prepared as of June 30, 2022 (the Measurement Date), presents information to assist the employers participating in TRS in meeting the requirements of GASB 68 for the fiscal year ending June 30, 2023 (Reporting Date). Much of the material provided in this report is based on the results of the annual actuarial valuation of TRS as of June 30, 2021. The results of the valuation were detailed in a report dated November 15, 2021.

The NPL shown in the GASB Statement No. 67 Report for the Teachers’ Retirement System of the State of Kentucky Prepared as of June 30, 2022, and submitted November 11, 2022, is the collective NPL used for purposes of GASB 68. Please refer to that report for the derivation of the collective NPL.

Pension Expense (PE) includes amounts for service cost (the normal cost under the Entry Age Normal actuarial cost method for the year), interest on the Total Pension Liability (TPL), changes in benefit structure, amortization of increases/decreases in liability due to actuarial experience and actuarial assumption changes, and amortization of investment gains/losses. The actuarial experience and assumption change impacts are amortized over the average expected remaining service life of the Plan membership as of the Measurement Date, and investment gains/losses are amortized over five years. The development of the collective PE is shown in Section IV.

The unamortized portions of each year’s experience, assumption changes and investment gains/losses are used to develop deferred inflows and outflows, which also must be included in the employer’s financial statements. The development of the collective deferred inflows and outflows is shown in Section III.

These collective amounts have been allocated based on actual contributions made to TRS during the measurement period to determine the proportionate share to each participating employer. In addition, TRS receives contributions directly from the State of Kentucky for all participating employers. These employers are considered to be in a special funding situation as defined by GASB 68 and the State is treated as a non-employer contributing entity in TRS.

Schedule A of this report shows the total amount of employer contributions for the year ending June 30, 2022 from each participating employer, the amount of contributions from the State associated with each employer in special funding situation and the total amount of State contributions. Schedule A also shows the proportionate share percentages that have been determined based on these contributions.

Based on these percentages we have determined the proportionate share amounts of the NPL, PE and Deferred Inflows and Outflows for each participating employer. These amounts are shown in Schedule B. The proportionate share amounts of each of these items associated with each employer in a special funding situation, and the total proportionate share amounts of each item for the State are also provided.



Section I – Introduction

Section II of this report is a summary of the principal results of the collective amounts under GASB 68. Section III provides the results of all the necessary calculations, presented in the order laid out in GASB 68 for note disclosure and Required Supplementary Information (RSI).



Section II – Summary of Collective Amounts

(\$ IN THOUSANDS)

	2022
Valuation Date:	June 30, 2021
Prior Measurement Date:	June 30, 2021
Measurement Date:	June 30, 2022
Reporting Date:	June 30, 2023
Single Equivalent Interest Rate (SEIR):	
Long-Term Expected Rate of Return	7.10%
Municipal Bond Index Rate at Prior Measurement Date	2.13%
Municipal Bond Index Rate at Measurement Date	3.37%
Fiscal Year in which Plan's Fiduciary Net Position is projected to be depleted from future benefit payments for current members	N/A
Single Equivalent Interest Rate at Prior Measurement Date	7.10%
Single Equivalent Interest Rate at Measurement Date	7.10%
Net Pension Liability:	
Total Pension Liability (TPL)	\$40,598,288
Fiduciary Net Position (FNP)	<u>22,899,952</u>
Net Pension Liability (NPL = TPL – FNP)	\$17,698,336
FNP as a percentage of TPL	56.41%
Pension Expense (PE):	\$633,972
Deferred Outflows of Resources:	\$2,822,477
Deferred Inflows of Resources:	\$0



Section III – Notes to the Financial Statements

The material presented herein will follow the order presented in GASB 68. Paragraph numbers are provided for ease of reference. Amounts are shown in aggregate. Please refer to Schedule B of this report for the proportionate share of certain pension amounts as required by GASB 68.

Paragraphs 77 and 78(a)-(e): These paragraphs require information to be disclosed regarding the actuarial assumptions used to measure the TPL. The complete set of actuarial assumptions utilized in developing the TPL are outlined in Schedule C. The TPL was determined by an actuarial valuation as of June 30, 2021, using the following key actuarial assumptions:

Inflation	2.50 percent
Salary increases, including inflation	3.00 – 7.50 percent
Long-Term Investment Rate of Return, net of pension plan investment expense, including inflation	7.10 percent
Municipal Bond Index Rate	
Prior Measurement Date	2.13 percent
Measurement Date	3.37 percent
Year FNP is projected to be depleted	N/A
Single Equivalent Interest Rate, net of pension plan investment expense, including inflation	
Prior Measurement Date	7.10 percent
Measurement Date	7.10 percent
Post-Retirement Benefit Increases	1.50% annually

Mortality rates were based on the Pub2010 (Teachers Benefit-Weighted) Mortality Table projected generationally with MP-2020 with various set-forwards, set-backs, and adjustments for each of the groups; service, retirees, contingent annuitants, disabled retirees, and active members. The actuarial assumptions used were based on the results of an actuarial experience study for the 5-year period ending June 30, 2020, adopted by the board on September 20, 2021. The Municipal Bond Index Rate used for this purpose is the June average of the Bond Buyer General Obligation 20-year Municipal Bond Index.

The long-term expected rate of return on pension plan investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.



Section III – Notes to the Financial Statements

The target asset allocation and best estimates of arithmetic real rates of return for each major asset class, as provided by TRS's investment consultant, are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rates of Return
Large Cap U.S. Equity	37.4%	4.2%
Small Cap U.S. Equity	2.6%	4.7%
Developed International Equity	16.5%	5.3%
Emerging Markets Equity	5.5%	5.4%
Fixed Income	15.0%	(0.1)%
High Yield Bonds	2.0%	1.7%
Other Additional Categories	5.0%	2.2%
Real Estate	7.0%	4.0%
Private Equity	7.0%	6.9%
Cash	2.0%	(0.3)%
Total	100.0%	

Discount rate. The discount rate used to measure the TPL as of the Measurement Date was 7.10 percent. The projection of cash flows used to determine the discount rate was performed in accordance with GASB 67. We assumed that Plan member contributions will be made at the current contribution rates and that Employer contributions will be made at the Actuarially Determined Contribution rates for all fiscal years in the future. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Paragraph 78 (g): This paragraph requires disclosure of the sensitivity of the net pension liability to changes in the discount rate. The following presents the net pension liability of the System, calculated using the discount rate of 7.10 percent, as well as what the System's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.10 percent) or 1-percentage-point higher (8.10 percent) than the current rate (\$ thousands):

	1% Decrease (6.10%)	Current Discount Rate (7.10%)	1% Increase (8.10%)
System's net pension liability	\$22,587,405	\$17,698,336	\$13,623,659



Section III – Notes to the Financial Statements

Paragraph 80(a): This paragraph requires disclosure of the employer's proportionate share of the collective NPL and if an employer has a special funding situation the portion of the non-employer contributing entities' proportional share of the collective NPL that is associated with the employer. These amounts are shown in Schedule B.

Paragraph 80(b): This paragraph requires disclosure of the employer's proportion (percentage) of the collective NPL and the changes in proportion since the prior measurement date. These amounts are shown for all entities in Schedule A.

Paragraph 80(c): June 30, 2021 is the actuarial valuation date upon which the TPL is based. An expected TPL is determined as of June 30, 2022 using standard roll forward techniques. The procedure used to determine the TPL as of June 30, 2022 is shown on page 5 of the GASB 67 report for TRS submitted on November 11, 2022.

Paragraph 80(g): Please see Section IV of this report for the development of the collective pension expense. The PE for each employer is shown in Schedule B.

Paragraph 80(h): Since certain expense items are amortized over closed periods each year, the deferred portions of these items must be tracked annually. If the amounts serve to reduce pension expense they are labeled deferred inflows. If they will increase pension expense they are labeled deferred outflows. The amortization of these amounts is accomplished on a level dollar basis, with no interest included in the deferred amounts. Experience gains/losses and the impact of changes in actuarial assumptions or other inputs, if any, are amortized over the average expected remaining service life of the active and inactive Plan members at the beginning of the fiscal year. Investment gains and losses are amortized over a fixed five-year period.



Section III – Notes to the Financial Statements

The table below provides a summary of the collective deferred inflows and outflows as of the Measurement Date. The allocation of the collective deferred inflows and outflows is provided in Schedule B.

	Collective Deferred Outflows of Resources (\$ thousands)	Collective Deferred Inflows of Resources (\$ thousands)
Differences between expected and actual experience	\$ 58,178	\$ 0
Changes of actuarial assumptions or other inputs	1,573,898	0
Net difference between projected and actual earnings on plan investments	<u>1,190,401</u>	<u>0</u>
Total	<u>\$2,822,477</u>	<u>\$ 0</u>

Paragraph 80(i): Collective amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Deferred Amounts to be Recognized in Fiscal Years Following the Reporting Date: (\$ thousands)	
Year 1	\$949,107
Year 2	863,070
Year 3	98,645
Year 4	911,655
Year 5	0
Thereafter	<u>0</u>

The allocation of these deferred amounts for each participating employer is shown in Schedule C.



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences between Expected and Actual Experience (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2022	\$42,986	\$0	3.9	\$0	\$0	\$42,986	\$0	\$11,022	\$0	\$31,964	\$0
2021	32,475	0	4.1	24,554	0	0	0	7,921	0	16,633	0
2020	10,661	0	4.2	5,585	0	0	0	2,538	0	3,047	0
2019	93,650	0	4.3	28,313	0	0	0	21,779	0	6,534	0
2018	0	222,473	4.4	0	20,225	0	0	0	20,225	0	0
Total				<u>\$58,452</u>	<u>\$20,225</u>	<u>\$42,986</u>	<u>\$0</u>			<u>\$58,178</u>	<u>\$0</u>



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences from Assumption Changes or Other Inputs (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2022	\$0	\$0	3.9	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
2021	3,072,848	0	4.1	2,323,373	0	0	0	749,475	0	1,573,898	0
2020	0	0	4.2	0	0	0	0	0	0	0	0
2019	0	0	4.3	0	0	0	0	0	0	0	0
2018	0	14,167,315	4.4	0	1,287,939	0	0	0	1,287,939	0	0
Total				<u>\$2,323,373</u>	<u>\$1,287,939</u>	<u>\$0</u>	<u>\$0</u>			<u>\$1,573,898</u>	<u>\$0</u>



Section III – Notes to the Financial Statements

Collective Deferred Outflows and Inflows for Differences in Investment Experience (\$ thousands)											
	Initial Balance of Losses / Deferred Outflow	Initial Balance of Gains / Deferred Inflow	Amortization Period	Beginning Balance Deferred Outflows (a)	Beginning Balance Deferred Inflows (b)	Losses / Deferred Outflows (c)	Gains / Deferred Inflows (d)	Amounts Recognized in Pension Expense / Deferred Outflow (e)	Amounts Recognized in Pension Expense / Deferred Inflow (f)	Ending Balance Deferred Outflows (a) + (c) - (e)	Ending Balance Deferred Inflows (b) + (d) - (f)
2022	\$4,558,280	\$0	5.0	\$0	\$0	\$4,558,280	\$0	\$911,656	\$0	\$3,646,624	\$0
2021	0	4,493,351	5.0	0	3,594,681	0	0	0	898,670	0	2,696,011
2020	405,785	0	5.0	243,471	0	0	0	81,157	0	162,314	0
2019	387,374	0	5.0	154,949	0	0	0	77,475	0	77,474	0
2018	0	576,610	5.0	0	115,122	0	0	0	115,122	0	0
Total				<u>\$398,420</u>	<u>\$3,709,803</u>	<u>\$4,558,280</u>	<u>\$0</u>			<u>\$3,886,412</u>	<u>\$2,696,011</u>
Net difference between projected and actual earnings on investments										\$1,190,401	\$0



Section III – Notes to the Financial Statements

Paragraph 80(j): The amount of revenue recognized for the support provided by non-employer contributing entities for the participating employers is provided in Schedule B.

Paragraphs 81(a)-(b): CMC was not required to supply this information.



Section IV – Pension Expense

As noted earlier, the collective Pension Expense (PE) consists of a number of different items. GASB 68 refers to the first as Service Cost which is the Normal Cost using the Entry Age Normal actuarial funding method. The second item is interest on the beginning Total Pension Liability (TPL) and the cash flow during the year at the SEIR rate of return in effect as of the previous measurement date.

The next three items refer to any changes that occurred in the TPL due to:

- benefit changes, or
- actual versus expected experience, or
- changes in actuarial assumptions or other inputs.

Benefit changes, which are reflected immediately in PE, can be positive, if there is a benefit improvement for existing Plan members, or negative if there is a benefit reduction. For the year ended June 30, 2022, there were no benefit changes to be recognized.

The next item to be recognized is the portion of current year changes in TPL due to actual versus expected Plan experience for the year. The portion to recognize in the current year is determined by spreading the total change over the average expected remaining service life of the entire Plan membership determined at the beginning of the year. The average expected remaining service life of active members is the average number of years the active members are expected to remain active. For the year ended June 30, 2022, the average expected remaining service life for the active members is 10.7 years. The average expected remaining service life of the inactive members is zero. The number of years to use for the amortization is the weighted average for all active and inactive members, or 3.9 years.

The last item under changes in TPL are changes in actuarial assumptions or other inputs. There were no changes in assumptions or other inputs since the last measurement date. Changes in actuarial assumptions or other inputs are recognized over the average expected remaining service life of the plan membership.

Member contributions for the year and projected earnings on the Fiduciary Net Position (FNP), again at the discount rate used to calculate the liabilities, are subtracted from the amount determined thus far. One-fifth of current period differences between projected and actual investment earnings on the FNP are recognized in the pension expense.

The current year portions of previously determined experience, assumption and earnings amounts, recognized as deferred outflows and inflows (see Section V) are included also. Deferred outflows are added to the PE while deferred inflows are subtracted from the PE. Finally, administrative expenses and other miscellaneous items are included.



Section IV – Pension Expense

The calculation of the Collective Pension Expense determined as of the measurement date is shown in the following table:

Collective Pension Expense Determined as of the Measurement Date (\$ thousands)	
Service Cost at end of year	\$621,689
Interest on the TPL and net cash flow	2,724,644
Current-period benefit changes	0
Expensed portion of current-period difference between expected and actual experience in the total pension liability	11,022
Expensed portion of current-period changes of assumptions or other inputs	0
Member contributions	(356,967)
Projected earnings on plan investments	(1,830,504)
Expensed portion of current-period differences between projected and actual earnings on plan investments	911,656
Administrative expense	12,005
Other	(77,962)
Recognition of beginning deferred outflows of resources as pension expense	781,713
Recognition of beginning deferred inflows of resources as pension expense	<u>(2,163,324)</u>
Collective Pension Expense	<u>\$633,972</u>



Section V – Required Supplemental Information

Paragraphs 82:

Changes of benefit terms.

- A new benefit tier was added for members joining the System on and after January 1, 2022. A description of the benefit provisions applicable to these members can be found in Schedule D of this report.

Changes of assumptions.

- In 2014, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 5.16% to 5.23%.
- In 2015, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 5.23% to 4.88%.
- In the 2016 valuation, rates of withdrawal, retirement, disability and mortality were adjusted to more closely reflect actual experience. In the 2016 valuation, the Assumed Salary Scale, Price Inflation, and Wage Inflation were adjusted to reflect a decrease. In addition, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.88% to 4.20%.
- In 2017, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.20% to 4.49%.
- In 2018, the calculation of the Single Equivalent Interest Rate (SEIR) resulted in an assumption change from 4.49% to 7.50%.
- In the 2020 experience study, rates of withdrawal, retirement, disability, mortality, and rates of salary increases were adjusted to reflect actual experience more closely. The expectation of mortality was changed to the Pub2010 Mortality Tables (Teachers Benefit-Weighted) projected generationally with MP-2020 with various set forwards, set-backs, and adjustments for each of the groups; service retirees, contingent annuitants, disabled retirees, and actives. The assumed long-term investment rate of return was changed from 7.50 percent to 7.10 percent and the price inflation assumption was lowered from 3.00 percent to 2.50 percent. In addition, the calculation of the SEIR results in an assumption change from 7.50% to 7.10%.



Schedule A – Schedule of Employer Allocations as of June 30, 2022

Code	University Employers	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
263	Eastern Kentucky University	\$ 7,323,670	\$ 9,517,242	\$ 16,840,912	13.1164%	17.0449%	30.1613%
266	Kentucky State University	1,713,242	2,226,389	3,939,631	3.0683%	3.9874%	7.0557%
269	Morehead State University	3,748,917	4,871,786	8,620,703	6.7142%	8.7252%	15.4394%
270	Murray State University	3,948,769	5,131,497	9,080,266	7.0721%	9.1903%	16.2624%
273	Western Kentucky University	5,573,266	7,242,560	12,815,826	9.9815%	12.9711%	22.9526%
500	KCTCS Central Office - University	<u>1,973,740</u>	<u>2,564,911</u>	<u>4,538,651</u>	<u>3.5349%</u>	<u>4.5937%</u>	<u>8.1286%</u>
	Total University Contributions	\$ 24,281,604	\$ 31,554,385	\$ 55,835,989	43.4874%	56.5126%	100.0000%



Schedule A (continued)

Code	Non-University Employers	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
400	KY High School Athletic Association	\$ -	\$ -	\$ -	0.0000%	0.0000%	0.0000%
801	KY School Boards Association	151,414	262,327	413,741	0.0098%	0.0170%	0.0268%
805	KY Education Association	24,876	43,098	67,974	0.0016%	0.0028%	0.0044%
806	KY Academic Association	16,017	27,750	43,767	0.0010%	0.0018%	0.0028%
807	Jefferson County Teachers' Association	7,497	12,989	20,486	0.0005%	0.0008%	0.0013%
		\$ 199,804	\$ 346,164	\$ 545,968	0.0129%	0.0224%	0.0353%

Code	State Agencies	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
301	Technical Education District - Madisonville	\$ 764,752	\$ 1,324,942	\$ 2,089,694	0.0495%	0.0857%	0.1352%
302	Technical Education District - Bowling Green	743,961	1,288,922	2,032,883	0.0481%	0.0834%	0.1315%
303	Technical Education District - Elizabethtown	-	-	-	0.0000%	0.0000%	0.0000%
304	Technical Education District - Frankfort	582,335	1,008,903	1,591,238	0.0377%	0.0653%	0.1030%
305	Technical Education District - Hazard	659,424	1,142,460	1,801,884	0.0427%	0.0739%	0.1166%
308	Adult Education - Workforce Investment	15,318	26,539	41,857	0.0010%	0.0017%	0.0027%
316	Office of Career and Technical Education	265,627	460,202	725,829	0.0172%	0.0298%	0.0470%
318	Department for Vocational Rehabilitation	1,289,581	2,234,215	3,523,796	0.0834%	0.1445%	0.2279%
320	School for the Blind	331,325	574,025	905,350	0.0214%	0.0371%	0.0585%
330	School for the Deaf	238,950	413,984	652,934	0.0155%	0.0268%	0.0423%
345	Department of Education	2,030,363	3,517,629	5,547,992	0.1313%	0.2276%	0.3589%
400	KCTCS Central Office	1,220,184	2,113,984	3,334,168	0.0789%	0.1368%	0.2157%
728	Department of Corrections	624	1,081	1,705	0.0000%	0.0001%	0.0001%
		\$ 8,142,444	\$ 14,106,886	\$ 22,249,330	0.5267%	0.9127%	1.4394%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
1	Adair County Schools	\$ -	\$ 4,859,880	\$ 4,859,880	0.0000%	0.3144%	0.3144%
2	Allen County Schools	-	5,993,561	5,993,561	0.0000%	0.3877%	0.3877%
3	Anderson County Schools	-	7,607,244	7,607,244	0.0000%	0.4921%	0.4921%
4	Ballard County Schools	-	2,366,831	2,366,831	0.0000%	0.1531%	0.1531%
5	Barren County Schools	-	9,986,178	9,986,178	0.0000%	0.6460%	0.6460%
6	Bath County Schools	-	3,562,343	3,562,343	0.0000%	0.2305%	0.2305%
7	Bell County Schools	-	2,702,226	2,702,226	0.0000%	0.1748%	0.1748%
8	Boone County Schools	-	51,059,689	51,059,689	0.0000%	3.3032%	3.3032%
9	Bourbon County Schools	-	5,549,528	5,549,528	0.0000%	0.3590%	0.3590%
10	Boyd County Schools	-	7,087,746	7,087,746	0.0000%	0.4585%	0.4585%
11	Boyle County Schools	-	6,998,561	6,998,561	0.0000%	0.4528%	0.4528%
12	Bracken County Schools	-	2,468,108	2,468,108	0.0000%	0.1597%	0.1597%
13	Breathitt County Schools	-	3,547,280	3,547,280	0.0000%	0.2295%	0.2295%
14	Breckinridge County Schools	-	4,730,921	4,730,921	0.0000%	0.3061%	0.3061%
15	Bullitt County Schools	-	28,680,234	28,680,234	0.0000%	1.8554%	1.8554%
16	Butler County Schools	-	3,978,098	3,978,098	0.0000%	0.2574%	0.2574%
17	Caldwell County Schools	-	3,200,681	3,200,681	0.0000%	0.2071%	0.2071%
18	Calloway County Schools	-	6,280,395	6,280,395	0.0000%	0.4063%	0.4063%
19	Campbell County Schools	-	11,770,348	11,770,348	0.0000%	0.7614%	0.7614%
20	Carlisle County Schools	-	1,483,785	1,483,785	0.0000%	0.0960%	0.0960%
21	Carroll County Schools	-	4,395,284	4,395,284	0.0000%	0.2843%	0.2843%
22	Carter County Schools	-	7,950,239	7,950,239	0.0000%	0.5143%	0.5143%
23	Casey County Schools	-	4,104,675	4,104,675	0.0000%	0.2655%	0.2655%
24	Christian County Schools	-	14,176,282	14,176,282	0.0000%	0.9171%	0.9171%
25	Clark County Schools	-	10,923,795	10,923,795	0.0000%	0.7067%	0.7067%
26	Clay County Schools	-	5,840,279	5,840,279	0.0000%	0.3778%	0.3778%
27	Clinton County Schools	-	3,004,470	3,004,470	0.0000%	0.1944%	0.1944%
28	Crittenden County Schools	-	2,585,952	2,585,952	0.0000%	0.1673%	0.1673%
29	Cumberland County Schools	-	1,844,293	1,844,293	0.0000%	0.1193%	0.1193%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
30	Daviess County Schools	-	25,448,615	25,448,615	0.0000%	1.6463%	1.6463%
31	Edmonson County Schools	-	3,782,517	3,782,517	0.0000%	0.2447%	0.2447%
32	Elliott County Schools	-	2,225,500	2,225,500	0.0000%	0.1440%	0.1440%
33	Estill County Schools	-	4,458,050	4,458,050	0.0000%	0.2884%	0.2884%
34	Fayette County Schools	-	124,688,802	124,688,802	0.0000%	8.0664%	8.0664%
35	Fleming County Schools	-	4,554,453	4,554,453	0.0000%	0.2946%	0.2946%
36	Floyd County Schools	-	10,140,881	10,140,881	0.0000%	0.6560%	0.6560%
37	Franklin County Schools	-	14,901,712	14,901,712	0.0000%	0.9640%	0.9640%
38	Fulton County Schools	-	1,151,397	1,151,397	0.0000%	0.0745%	0.0745%
39	Gallatin County Schools	-	3,307,061	3,307,061	0.0000%	0.2139%	0.2139%
40	Garrard County Schools	-	4,996,233	4,996,233	0.0000%	0.3232%	0.3232%
41	Grant County Schools	-	7,074,829	7,074,829	0.0000%	0.4577%	0.4577%
42	Graves County Schools	-	7,701,910	7,701,910	0.0000%	0.4983%	0.4983%
43	Grayson County Schools	-	7,328,953	7,328,953	0.0000%	0.4741%	0.4741%
44	Green County Schools	-	3,644,018	3,644,018	0.0000%	0.2357%	0.2357%
45	Greenup County Schools	-	5,870,438	5,870,438	0.0000%	0.3798%	0.3798%
46	Hancock County Schools	-	3,634,136	3,634,136	0.0000%	0.2351%	0.2351%
47	Hardin County Schools	-	32,159,717	32,159,717	0.0000%	2.0805%	2.0805%
48	Harlan County Schools	-	6,420,073	6,420,073	0.0000%	0.4153%	0.4153%
49	Harrison County Schools	-	5,587,467	5,587,467	0.0000%	0.3615%	0.3615%
50	Hart County Schools	-	5,047,749	5,047,749	0.0000%	0.3265%	0.3265%
51	Henderson County Schools	-	14,936,067	14,936,067	0.0000%	0.9662%	0.9662%
52	Henry County Schools	-	4,383,115	4,383,115	0.0000%	0.2836%	0.2836%
53	Hickman County Schools	-	1,687,485	1,687,485	0.0000%	0.1092%	0.1092%
54	Hopkins County Schools	-	12,874,401	12,874,401	0.0000%	0.8329%	0.8329%
55	Jackson County Schools	-	4,111,942	4,111,942	0.0000%	0.2660%	0.2660%
56	Jefferson County Schools	-	297,855,488	297,855,488	0.0000%	19.2692%	19.2692%
57	Jessamine County Schools	-	18,574,512	18,574,512	0.0000%	1.2016%	1.2016%
58	Johnson County Schools	-	7,184,515	7,184,515	0.0000%	0.4648%	0.4648%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
59	Kenton County Schools	-	30,166,259	30,166,259	0.0000%	1.9515%	1.9515%
60	Knott Counts Schools	-	4,134,521	4,134,521	0.0000%	0.2675%	0.2675%
61	Knox County Schools	-	8,382,848	8,382,848	0.0000%	0.5423%	0.5423%
62	Larue County Schools	-	5,106,453	5,106,453	0.0000%	0.3303%	0.3303%
63	Laurel County Schools	-	17,532,425	17,532,425	0.0000%	1.1342%	1.1342%
64	Lawrence County Schools	-	5,274,005	5,274,005	0.0000%	0.3412%	0.3412%
65	Lee County Schools	-	1,577,470	1,577,470	0.0000%	0.1020%	0.1020%
66	Leslie County Schools	-	3,343,148	3,343,148	0.0000%	0.2163%	0.2163%
67	Letcher County Schools	-	6,218,678	6,218,678	0.0000%	0.4023%	0.4023%
68	Lewis County Schools	-	4,147,518	4,147,518	0.0000%	0.2683%	0.2683%
69	Lincoln County Schools	-	5,646,836	5,646,836	0.0000%	0.3653%	0.3653%
70	Livingston County Schools	-	2,524,690	2,524,690	0.0000%	0.1633%	0.1633%
71	Logan County Schools	-	6,916,168	6,916,168	0.0000%	0.4474%	0.4474%
72	Lyon County Schools	-	1,814,302	1,814,302	0.0000%	0.1174%	0.1174%
73	Madison County Schools	-	20,972,113	20,972,113	0.0000%	1.3567%	1.3567%
74	Magoffin County Schools	-	3,328,838	3,328,838	0.0000%	0.2153%	0.2153%
75	Marion County Schools	-	7,525,724	7,525,724	0.0000%	0.4869%	0.4869%
76	Marshall County Schools	-	10,145,806	10,145,806	0.0000%	0.6564%	0.6564%
77	Martin County Schools	-	3,176,712	3,176,712	0.0000%	0.2055%	0.2055%
78	Mason County Schools	-	5,306,661	5,306,661	0.0000%	0.3433%	0.3433%
79	McCracken County Schools	-	15,548,918	15,548,918	0.0000%	1.0059%	1.0059%
80	McCreary County Schools	-	5,496,901	5,496,901	0.0000%	0.3556%	0.3556%
81	McLean County Schools	-	3,196,501	3,196,501	0.0000%	0.2068%	0.2068%
82	Meade County Schools	-	9,063,557	9,063,557	0.0000%	0.5863%	0.5863%
83	Menifee County Schools	-	2,239,516	2,239,516	0.0000%	0.1449%	0.1449%
84	Mercer County Schools	-	6,080,413	6,080,413	0.0000%	0.3934%	0.3934%
85	Metcalf County Schools	-	2,615,455	2,615,455	0.0000%	0.1692%	0.1692%
86	Monroe County Schools	-	3,774,108	3,774,108	0.0000%	0.2442%	0.2442%
87	Montgomery County Schools	-	8,126,319	8,126,319	0.0000%	0.5257%	0.5257%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
88	Morgan County Schools	-	3,751,575	3,751,575	0.0000%	0.2427%	0.2427%
89	Muhlenberg County Schools	-	8,561,220	8,561,220	0.0000%	0.5538%	0.5538%
90	Nelson County Schools	-	10,238,211	10,238,211	0.0000%	0.6623%	0.6623%
91	Nicholas County Schools	-	1,901,998	1,901,998	0.0000%	0.1230%	0.1230%
92	Ohio County Schools	-	6,686,675	6,686,675	0.0000%	0.4326%	0.4326%
93	Oldham County Schools	-	28,584,583	28,584,583	0.0000%	1.8492%	1.8492%
94	Owen County Schools	-	3,370,186	3,370,186	0.0000%	0.2180%	0.2180%
95	Owsley County Schools	-	1,373,831	1,373,831	0.0000%	0.0889%	0.0889%
96	Pendleton County Schools	-	3,994,358	3,994,358	0.0000%	0.2584%	0.2584%
97	Perry County Schools	-	7,282,200	7,282,200	0.0000%	0.4711%	0.4711%
98	Pike County Schools	-	15,950,844	15,950,844	0.0000%	1.0319%	1.0319%
99	Powell County Schools	-	4,191,909	4,191,909	0.0000%	0.2712%	0.2712%
100	Pulaski County Schools	-	16,086,330	16,086,330	0.0000%	1.0407%	1.0407%
101	Robertson County Schools	-	828,238	828,238	0.0000%	0.0536%	0.0536%
102	Rockcastle County Schools	-	5,747,976	5,747,976	0.0000%	0.3718%	0.3718%
103	Rowan County Schools	-	6,195,669	6,195,669	0.0000%	0.4008%	0.4008%
104	Russell County Schools	-	5,672,590	5,672,590	0.0000%	0.3670%	0.3670%
105	Scott County Schools	-	20,837,405	20,837,405	0.0000%	1.3480%	1.3480%
106	Shelby County Schools	-	16,135,904	16,135,904	0.0000%	1.0439%	1.0439%
107	Simpson County Schools	-	6,280,880	6,280,880	0.0000%	0.4063%	0.4063%
108	Spencer County Schools	-	6,612,398	6,612,398	0.0000%	0.4278%	0.4278%
109	Taylor County Schools	-	5,346,192	5,346,192	0.0000%	0.3459%	0.3459%
110	Todd County Schools	-	3,557,051	3,557,051	0.0000%	0.2301%	0.2301%
111	Trigg County Schools	-	4,538,748	4,538,748	0.0000%	0.2936%	0.2936%
112	Trimble County Schools	-	2,239,368	2,239,368	0.0000%	0.1449%	0.1449%
113	Union County Schools	-	4,443,502	4,443,502	0.0000%	0.2875%	0.2875%
114	Warren County Schools	-	33,791,906	33,791,906	0.0000%	2.1861%	2.1861%
115	Washington County Schools	-	3,549,754	3,549,754	0.0000%	0.2296%	0.2296%
116	Wayne County Schools	-	5,843,111	5,843,111	0.0000%	0.3780%	0.3780%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
117	Webster County Schools	-	4,200,863	4,200,863	0.0000%	0.2718%	0.2718%
118	Whitley County Schools	-	8,194,153	8,194,153	0.0000%	0.5301%	0.5301%
119	Wolfe County Schools	-	2,786,155	2,786,155	0.0000%	0.1802%	0.1802%
120	Woodford County Schools	-	8,491,110	8,491,110	0.0000%	0.5493%	0.5493%
122	Anchorage City Schools	-	1,816,623	1,816,623	0.0000%	0.1175%	0.1175%
124	Ashland City Schools	-	6,520,663	6,520,663	0.0000%	0.4218%	0.4218%
125	Augusta City Schools	-	698,779	698,779	0.0000%	0.0452%	0.0452%
126	Barbourville City Schools	-	1,316,203	1,316,203	0.0000%	0.0851%	0.0851%
127	Bardstown City Schools	-	7,474,177	7,474,177	0.0000%	0.4835%	0.4835%
128	Beechwood Independent Schools	-	3,150,843	3,150,843	0.0000%	0.2038%	0.2038%
129	Bellevue City Schools	-	1,613,698	1,613,698	0.0000%	0.1044%	0.1044%
131	Berea City Schools	-	2,918,511	2,918,511	0.0000%	0.1888%	0.1888%
134	Bowling Green City Schools	-	9,453,736	9,453,736	0.0000%	0.6116%	0.6116%
136	Burgin City Schools	-	1,192,732	1,192,732	0.0000%	0.0772%	0.0772%
140	Campbellsville City Schools	-	2,786,254	2,786,254	0.0000%	0.1802%	0.1802%
144	Caverna City Schools	-	1,749,700	1,749,700	0.0000%	0.1132%	0.1132%
147	Cloverport City Schools	-	658,264	658,264	0.0000%	0.0426%	0.0426%
150	Corbin City Schools	-	5,945,300	5,945,300	0.0000%	0.3846%	0.3846%
151	Covington City Schools	-	9,506,502	9,506,502	0.0000%	0.6150%	0.6150%
154	Danville City Schools	-	4,818,967	4,818,967	0.0000%	0.3117%	0.3117%
155	Dawson Springs City Schools	-	1,300,133	1,300,133	0.0000%	0.0841%	0.0841%
156	Dayton City Schools	-	2,261,603	2,261,603	0.0000%	0.1463%	0.1463%
158	East Bernstadt City Schools	-	1,105,621	1,105,621	0.0000%	0.0715%	0.0715%
160	Elizabethtown City Schools	-	5,369,571	5,369,571	0.0000%	0.3474%	0.3474%
161	Eminence Independent Schools	-	1,956,981	1,956,981	0.0000%	0.1266%	0.1266%
162	Erlanger-Elsmere City Schools	-	5,412,343	5,412,343	0.0000%	0.3501%	0.3501%
163	Fairview Independent Schools	-	1,331,537	1,331,537	0.0000%	0.0861%	0.0861%
166	Fort Thomas Independent Schools	-	7,805,507	7,805,507	0.0000%	0.5050%	0.5050%
167	Frankfort City Schools	-	1,982,307	1,982,307	0.0000%	0.1282%	0.1282%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
170	Fulton City Schools	-	919,213	919,213	0.0000%	0.0595%	0.0595%
173	Glasgow City Schools	-	5,248,178	5,248,178	0.0000%	0.3395%	0.3395%
180	Harlan City Schools	-	1,460,061	1,460,061	0.0000%	0.0945%	0.0945%
182	Hazard Independent Schools	-	2,099,873	2,099,873	0.0000%	0.1358%	0.1358%
190	Jackson City Schools	-	543,416	543,416	0.0000%	0.0352%	0.0352%
191	Jenkins City Schools	-	920,477	920,477	0.0000%	0.0595%	0.0595%
206	Ludlow City Schools	-	2,206,696	2,206,696	0.0000%	0.1428%	0.1428%
210	Mayfield City Schools	-	3,579,764	3,579,764	0.0000%	0.2316%	0.2316%
214	Middlesboro City Schools	-	2,176,796	2,176,796	0.0000%	0.1408%	0.1408%
221	Murray City Schools	-	3,852,871	3,852,871	0.0000%	0.2492%	0.2492%
222	Newport City Schools	-	4,436,334	4,436,334	0.0000%	0.2870%	0.2870%
224	Owensboro City Schools	-	12,150,279	12,150,279	0.0000%	0.7860%	0.7860%
226	Paducah City Schools	-	7,491,748	7,491,748	0.0000%	0.4847%	0.4847%
227	Paintsville City Schools	-	1,835,522	1,835,522	0.0000%	0.1187%	0.1187%
228	Paris City Schools	-	1,566,907	1,566,907	0.0000%	0.1014%	0.1014%
230	Pikeville City Schools	-	3,197,386	3,197,386	0.0000%	0.2068%	0.2068%
231	Pineville City Schools	-	1,087,104	1,087,104	0.0000%	0.0703%	0.0703%
235	Raceland City Schools	-	2,380,374	2,380,374	0.0000%	0.1540%	0.1540%
238	Russell City Schools	-	4,920,840	4,920,840	0.0000%	0.3183%	0.3183%
239	Russellville City Schools	-	2,236,733	2,236,733	0.0000%	0.1447%	0.1447%
240	Science Hill City Schools	-	897,509	897,509	0.0000%	0.0581%	0.0581%
246	Somerset City Schools	-	3,458,599	3,458,599	0.0000%	0.2237%	0.2237%
247	Southgate City Schools	-	607,969	607,969	0.0000%	0.0393%	0.0393%
258	Walton-Verona Independent Schools	-	4,312,608	4,312,608	0.0000%	0.2790%	0.2790%
260	Williamsburg City Schools	-	1,595,613	1,595,613	0.0000%	0.1032%	0.1032%
261	Williamstown City Schools	-	1,650,725	1,650,725	0.0000%	0.1068%	0.1068%
870	Ohio Valley Educational Cooperative	-	1,192,741	1,192,741	0.0000%	0.0772%	0.0772%



Schedule A (continued)

Code	Local School Districts and Educational Cooperatives	Contributions			Allocation Percentage		
		Employer	State	Total	Employer	State	Total
871	West Kentucky Educational Cooperative	-	462,874	462,874	0.0000%	0.0299%	0.0299%
872	Southeast South-Central Educational Cooperative	-	272,241	272,241	0.0000%	0.0176%	0.0176%
890	Green River Regional Educational Cooperative	-	492,164	492,164	0.0000%	0.0318%	0.0318%
891	Central KY Special Education Cooperative	-	204,936	204,936	0.0000%	0.0133%	0.0133%
892	KY Valley Educational Cooperative	-	322,158	322,158	0.0000%	0.0208%	0.0208%
894	KY Educational Development Corporation	-	1,203,146	1,203,146	0.0000%	0.0778%	0.0778%
895	Northern KY Cooperative for Educational Services	-	739,462	739,462	0.0000%	0.0478%	0.0478%
		\$ -	\$ 1,522,990,570	1,522,990,570	0.0000%	98.5253%	98.5253%
	Total Non-University Contributions	8,342,248	1,537,443,620	1,545,785,868	0.5396%	99.4604%	100.0000%



Schedule B – Schedule of Pension Amounts by Employer as of and for the fiscal year ended June 30, 2022

					Deferred Outflows of Resources					
		June 30, 2022			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources	
Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability								
Code	Employer									
<u>University Employers</u>										
263	Eastern Kentucky University	\$ 99,234,802	\$ 128,957,429	\$ 228,192,231	\$ (3,445,382)	\$ 9,000,726	\$ 6,323,814	\$ 4,865,750	\$ 16,744,908	
266	Kentucky State University	23,214,213	30,167,294	53,381,507	(805,986)	2,105,559	1,479,343	961,493	3,740,409	
269	Morehead State University	50,797,356	66,012,090	116,809,446	(1,763,658)	4,607,386	3,237,100	370,115	6,450,943	
270	Murray State University	53,505,327	69,531,142	123,036,469	(1,857,678)	4,853,003	3,409,668	397,427	6,802,420	
273	Western Kentucky University	75,517,054	98,135,777	173,652,831	(2,621,914)	6,849,495	4,812,382	-	9,039,963	
500	KCTCS Central Office - University	26,743,933	34,754,223	61,498,156	(928,536)	2,425,710	1,704,278	-	3,201,452	
Total University		\$ 329,012,685	\$ 427,557,955	\$ 756,570,640	\$ (11,423,154)	\$ 29,841,879	\$ 20,966,585	\$ 6,594,785	\$ 45,980,095	

CodeEmployer		Deferred Inflows of Resources						Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Pension Expense	
University Employers												
263	Eastern Kentucky University	\$ -	\$ -	\$ -	\$ 9,032,945	\$ 9,032,945	\$ 2,104,193	\$ 2,734,437	\$ 4,838,630	\$ (4,940,427)	\$ (101,797)	
266	Kentucky State University	-	-	-	3,679,741	3,679,741	492,238	639,673	1,131,911	(413,608)	718,303	
269	Morehead State University	-	-	-	4,806,629	4,806,629	1,077,117	1,399,732	2,476,849	(3,335,923)	(859,074)	
270	Murray State University	-	-	-	4,384,548	4,384,548	1,134,537	1,474,351	2,608,888	(4,938,507)	(2,329,619)	
273	Western Kentucky University	-	-	-	14,390,903	14,390,903	1,601,277	2,080,889	3,682,166	(15,171,497)	(11,489,331)	
500	KCTCS Central Office - University	-	-	-	2,889,439	2,889,439	567,083	736,935	1,304,018	(1,103,160)	200,858	
Total University		\$ -	\$ -	\$ -	\$ 39,184,205	\$ 39,184,205	\$ 6,976,445	\$ 9,066,017	\$ 16,042,462	\$ (29,903,122)	\$ (13,860,660)	



Schedule B (continued)

Code	Employer				Deferred Outflows of Resources						
		June 30, 2022			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources		
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability							
<u>Non-University Employers</u>											
400	KY High School Athletic Association	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 26,148	\$ 26,148	
801	KY School Boards Association	1,659,446	2,875,018	4,534,464	8,271	147,442	111,877	-	-	267,590	
805	KY Education Association	272,593	472,336	744,929	1,359	24,220	18,378	5,171	-	49,128	
806	KY Academic Association	175,517	304,105	479,622	875	15,595	11,833	2,079	-	30,382	
807	Jefferson County Teachers' Association	82,168	142,311	224,479	410	7,301	5,540	1,190	-	14,441	
	Total - Other Employers	\$ 2,189,724	\$ 3,793,770	\$ 5,983,494	\$ 10,915	\$ 194,558	\$ 147,628	\$ 34,588	\$ -	\$ 387,689	

CodeEmployer		Deferred Inflows of Resources						Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Total Pension Expense		
Non-University Employers												
400	KY High School Athletic Association	\$ -	\$ -	\$ -	\$ 938,540	\$ 938,540	\$ -	\$ -	\$ -	\$ (383,579)	\$ (383,579)	
801	KY School Boards Association	-	-	-	820,295	820,295	60,526	104,863	165,389	(497,593)	(332,204)	
805	KY Education Association	-	-	-	93,036	93,036	9,942	17,228	27,170	(37,751)	(10,581)	
806	KY Academic Association	-	-	-	59,897	59,897	6,402	11,092	17,494	(24,036)	(6,542)	
807	Jefferson County Teachers' Association	-	-	-	26,091	26,091	2,997	5,191	8,188	(10,556)	(2,368)	
Total - Other Employers		\$ -	\$ -	\$ -	\$ 1,937,859	\$ 1,937,859	\$ 79,867	\$ 138,374	\$ 218,241	\$ (953,515)	\$ (735,274)	



Schedule B (continued)

Code	Employer				Deferred Outflows of Resources					
		June 30, 2022			Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources	
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability						
<u>State Agencies</u>										
301	Technical Education District - Madisonville	\$ 8,381,599	\$ 14,521,295	\$ 22,902,894	\$ 41,778	\$ 744,705	\$ 565,075	\$ -	\$ 1,351,558	
302	Technical Education District - Bowling Green	8,153,733	14,126,552	22,280,285	40,642	724,459	549,713	-	1,314,814	
303	Technical Education District - Elizabethtown	-	-	-	-	-	-	-	-	
304	Technical Education District - Frankfort	6,382,302	11,057,551	17,439,853	31,812	567,068	430,286	87,271	1,116,437	
305	Technical Education District - Hazard	7,227,188	12,521,320	19,748,508	36,024	642,136	487,247	-	1,165,407	
308	Adult Education - Workforce Investment	167,893	290,890	458,783	837	14,917	11,319	-	27,073	
316	Office of Career and Technical Education	2,911,273	5,043,733	7,955,006	14,511	258,667	196,274	291,988	761,440	
318	Department for Vocational Rehabilitation	14,133,837	24,486,949	38,620,786	70,450	1,255,791	952,883	133,824	2,412,948	
320	School for the Blind	3,631,298	6,291,324	9,922,622	18,100	322,641	244,817	-	585,558	
330	School for the Deaf	2,618,858	4,537,174	7,156,032	13,054	232,686	176,560	974,626	1,396,926	
345	Department of Education	22,252,669	38,553,189	60,805,858	110,918	1,977,150	1,500,243	802,036	4,390,347	
400	KCTCS Central Office	13,373,660	23,169,219	36,542,879	66,660	1,188,250	901,633	-	2,156,543	
728	Department of Corrections	6,777	11,859	18,636	34	602	457	-	1,093	
	Total - State Agencies	\$ 89,241,087	\$ 154,611,055	\$ 243,852,142	\$ 444,820	\$ 7,929,072	\$ 6,016,507	\$ 2,289,745	\$ 16,680,144	



Schedule B (continued)

		Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Total Pension Expense	
Code	Employer										
State Agencies											
301	Technical Education District - Madisonville	\$ -	\$ -	\$ -	\$ 3,193,073	\$ 3,193,073	\$ 305,709	\$ 529,646	\$ 835,355	\$ (1,508,831)	\$ (673,476)
302	Technical Education District - Bowling Green	-	-	-	3,548,136	3,548,136	297,397	515,249	812,646	(1,494,434)	(681,788)
303	Technical Education District - Elizabethtown	-	-	-	-	-	-	-	-	(8,673)	(8,673)
304	Technical Education District - Frankfort	-	-	-	2,713,854	2,713,854	232,786	403,311	636,097	(1,210,928)	(574,831)
305	Technical Education District - Hazard	-	-	-	3,594,410	3,594,410	263,602	456,700	720,302	(1,510,660)	(790,358)
308	Adult Education - Workforce Investment	-	-	-	337,550	337,550	6,124	10,610	16,734	(201,872)	(185,138)
316	Office of Career and Technical Education	-	-	-	1,048,501	1,048,501	106,185	183,964	290,149	(146,652)	143,497
318	Department for Vocational Rehabilitation	-	-	-	4,509,264	4,509,264	515,515	893,131	1,408,646	(1,786,679)	(378,033)
320	School for the Blind	-	-	-	1,233,263	1,233,263	132,447	229,468	361,915	(688,869)	(326,954)
330	School for the Deaf	-	-	-	2,216,682	2,216,682	95,519	165,488	261,007	(1,546,751)	(1,285,744)
345	Department of Education	-	-	-	5,797,214	5,797,214	811,639	1,406,180	2,217,819	(2,795,659)	(577,840)
345	KCTCS Central Office	-	-	-	9,765,621	9,765,621	487,788	845,069	1,332,857	(6,591,106)	(5,258,249)
345	Department of Corrections	-	-	-	87,571	87,571	247	433	680	(40,062)	(39,382)
Total - State Agencies		\$ -	\$ -	\$ -	\$ 38,045,139	\$ 38,045,139	\$ 3,254,958	\$ 5,639,249	\$ 8,894,207	\$ (19,531,176)	\$ (10,636,969)



Schedule B (continued)

					Deferred Outflows of Resources				
					Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
Code	Employer	Employer's Proportionate Share of Net Pension Liability	State's Proportionate Net Pension Liability	Total Net Pension Liability					
Local School Districts and Educational Cooperatives									
1	Adair County Schools	\$ -	\$ 53,264,062	\$ 53,264,062					
2	Allen County Schools	-	65,689,322	65,689,322					
3	Anderson County Schools	-	83,375,169	83,375,169					
4	Ballard County Schools	-	25,940,383	25,940,383					
5	Barren County Schools	-	109,448,207	109,448,207					
6	Bath County Schools	-	39,043,144	39,043,144					
7	Bell County Schools	-	29,616,238	29,616,238					
8	Boone County Schools	-	559,612,588	559,612,588					
9	Bourbon County Schools	-	60,822,630	60,822,630					
10	Boyd County Schools	-	77,681,550	77,681,550					
11	Boyle County Schools	-	76,704,010	76,704,010					
12	Bracken County Schools	-	27,050,408	27,050,408					
13	Breathitt County Schools	-	38,878,132	38,878,132					
14	Breckinridge County Schools	-	51,850,780	51,850,780					
15	Bullitt County Schools	-	314,334,458	314,334,458					
16	Butler County Schools	-	43,599,802	43,599,802					
17	Caldwell County Schools	-	35,079,280	35,079,280					
18	Calloway County Schools	-	68,832,866	68,832,866					
19	Campbell County Schools	-	129,002,731	129,002,731					
20	Carlisle County Schools	-	16,262,231	16,262,231					
21	Carroll County Schools	-	48,172,215	48,172,215					
22	Carter County Schools	-	87,134,377	87,134,377					
23	Casey County Schools	-	44,987,163	44,987,163					
24	Christian County Schools	-	155,371,571	155,371,571					
25	Clark County Schools	-	119,724,404	119,724,404					
26	Clay County Schools	-	64,009,207	64,009,207					
27	Clinton County Schools	-	32,928,862	32,928,862					
28	Crittenden County Schools	-	28,341,879	28,341,879					
29	Cumberland County Schools	-	20,213,389	20,213,389					
30	Daviess County Schools	-	278,916,004	278,916,004					
31	Edmonson County Schools	-	41,456,330	41,456,330					
32	Elliott County Schools	-	24,391,398	24,391,398					
33	Estill County Schools	-	48,860,050	48,860,050					
34	Fayette County Schools	-	1,366,585,448	1,366,585,448					
35	Fleming County Schools	-	49,916,708	49,916,708					
36	Floyd County Schools	-	111,143,739	111,143,739					
37	Franklin County Schools	-	163,322,342	163,322,342					
38	Fulton County Schools	-	12,619,243	12,619,243					
39	Gallatin County Schools	-	36,245,212	36,245,212					
40	Garrard County Schools	-	54,758,495	54,758,495					



Schedule B (continued)

					Deferred Outflows of Resources				
					Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Net Pension Liability	Total Net Pension Liability					
Code	Employer								
41	Grant County Schools	-	77,539,917	77,539,917					
42	Graves County Schools	-	84,412,683	84,412,683					
43	Grayson County Schools	-	80,325,143	80,325,143					
44	Green County Schools	-	39,938,347	39,938,347					
45	Greenup County Schools	-	64,339,741	64,339,741					
46	Hancock County Schools	-	39,830,089	39,830,089					
47	Hardin County Schools	-	352,469,524	352,469,524					
48	Harlan County Schools	-	70,363,724	70,363,724					
49	Harrison County Schools	-	61,238,381	61,238,381					
50	Hart County Schools	-	55,323,164	55,323,164					
51	Henderson County Schools	-	163,698,788	163,698,788					
52	Henry County Schools	-	48,038,883	48,038,883					
53	Hickman County Schools	-	18,494,817	18,494,817					
54	Hopkins County Schools	-	141,103,047	141,103,047					
55	Jackson County Schools	-	45,066,789	45,066,789					
56	Jefferson County Schools	-	3,264,487,687	3,264,487,687					
57	Jessamine County Schools	-	203,576,145	203,576,145					
58	Johnson County Schools	-	78,742,105	78,742,105					
59	Kenton County Schools	-	330,621,254	330,621,254					
60	Knott Counts Schools	-	45,314,139	45,314,139					
61	Knox County Schools	-	91,875,700	91,875,700					
62	Larue County Schools	-	55,966,612	55,966,612					
63	Laurel County Schools	-	192,154,854	192,154,854					
64	Law rence County Schools	-	57,802,930	57,802,930					
65	Lee County Schools	-	17,289,071	17,289,071					
66	Leslie County Schools	-	36,640,802	36,640,802					
67	Letcher County Schools	-	68,156,551	68,156,551					
68	Lew is County Schools	-	45,456,619	45,456,619					
69	Lincoln County Schools	-	61,889,115	61,889,115					
70	Livingston County Schools	-	27,670,476	27,670,476					
71	Logan County Schools	-	75,801,014	75,801,014					
72	Lyon County Schools	-	19,884,719	19,884,719					
73	Madison County Schools	-	229,853,669	229,853,669					
74	Magoffin County Schools	-	36,483,921	36,483,921					
75	Marion County Schools	-	82,481,661	82,481,661					
76	Marshall County Schools	-	111,197,783	111,197,783					
77	Martin County Schools	-	34,816,682	34,816,682					
78	Mason County Schools	-	58,160,910	58,160,910					
79	McCracken County Schools	-	170,415,689	170,415,689					
80	McCreary County Schools	-	60,245,933	60,245,933					



Schedule B (continued)

					Deferred Outflows of Resources				
					Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability					
Code	Employer								
81	McLean County Schools	-	35,033,537	35,033,537					
82	Meade County Schools	-	99,336,345	99,336,345					
83	Menifee County Schools	-	24,545,060	24,545,060					
84	Mercer County Schools	-	66,641,110	66,641,110					
85	Metcalf County Schools	-	28,665,297	28,665,297					
86	Monroe County Schools	-	41,364,166	41,364,166					
87	Montgomery County Schools	-	89,064,214	89,064,214					
88	Morgan County Schools	-	41,117,155	41,117,155					
89	Muhlenberg County Schools	-	93,830,779	93,830,779					
90	Nelson County Schools	-	112,210,392	112,210,392					
91	Nicholas County Schools	-	20,845,825	20,845,825					
92	Ohio County Schools	-	73,285,670	73,285,670					
93	Oldham County Schools	-	313,286,102	313,286,102					
94	Ow en County Schools	-	36,937,114	36,937,114					
95	Ow sley County Schools	-	15,057,163	15,057,163					
96	Pendleton County Schools	-	43,778,029	43,778,029					
97	Perry County Schools	-	79,812,655	79,812,655					
98	Pike County Schools	-	174,820,718	174,820,718					
99	Pow ell County Schools	-	45,943,187	45,943,187					
100	Pulaski County Schools	-	176,305,663	176,305,663					
101	Robertson County Schools	-	9,077,398	9,077,398					
102	Rockcastle County Schools	-	62,997,614	62,997,614					
103	Row an County Schools	-	67,904,288	67,904,288					
104	Russell County Schools	-	62,171,364	62,171,364					
105	Scott County Schools	-	228,377,364	228,377,364					
106	Shelby County Schools	-	176,848,986	176,848,986					
107	Simpson County Schools	-	68,838,288	68,838,288					
108	Spencer County Schools	-	72,471,619	72,471,619					
109	Taylor County Schools	-	58,594,111	58,594,111					
110	Todd County Schools	-	38,985,204	38,985,204					
111	Trigg County Schools	-	49,744,580	49,744,580					
112	Trimble County Schools	-	24,543,366	24,543,366					
113	Union County Schools	-	48,700,628	48,700,628					
114	Warren County Schools	-	370,358,164	370,358,164					
115	Washington County Schools	-	38,905,239	38,905,239					
116	Wayne County Schools	-	64,040,380	64,040,380					
117	Webster County Schools	-	46,041,279	46,041,279					
118	Whitley County Schools	-	89,807,619	89,807,619					
119	Wolfe County Schools	-	30,536,176	30,536,176					
120	Woodford County Schools	-	93,062,301	93,062,301					



Schedule B (continued)

Code	Employer	June 30, 2022			Deferred Outflows of Resources				
		Employer's	State's	Total	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
		Proportionate Share of Net Pension Liability	Proportionate Share of Net Pension Liability	Net Pension Liability					
122	Anchorage City Schools	-	19,910,132	19,910,132					
124	Ashland City Schools	-	71,466,294	71,466,294					
125	Augusta City Schools	-	7,658,525	7,658,525					
126	Barbourville City Schools	-	14,425,574	14,425,574					
127	Bardstown City Schools	-	81,916,822	81,916,822					
128	Beechwood Independent Schools	-	34,533,077	34,533,077					
129	Bellevue City Schools	-	17,686,017	17,686,017					
131	Berea City Schools	-	31,986,730	31,986,730					
134	Bowling Green City Schools	-	103,612,616	103,612,616					
136	Burgin City Schools	-	13,072,266	13,072,266					
140	Campbellsville City Schools	-	30,537,193	30,537,193					
144	Caverna City Schools	-	19,176,723	19,176,723					
147	Cloverport City Schools	-	7,214,481	7,214,481					
150	Corbin City Schools	-	65,160,231	65,160,231					
151	Covington City Schools	-	104,191,008	104,191,008					
154	Danville City Schools	-	52,815,783	52,815,783					
155	Dawson Springs City Schools	-	14,249,380	14,249,380					
156	Dayton City Schools	-	24,787,158	24,787,158					
158	East Bernstadt City Schools	-	12,117,597	12,117,597					
160	Elizabethtown City Schools	-	58,850,270	58,850,270					
161	Eminence Independent Schools	-	21,448,444	21,448,444					
162	Erlanger-Elsmere City Schools	-	59,319,049	59,319,049					
163	Fairview Independent Schools	-	14,593,636	14,593,636					
166	Fort Thomas Independent Schools	-	85,548,120	85,548,120					
167	Frankfort City Schools	-	21,725,950	21,725,950					
170	Fulton City Schools	-	10,074,590	10,074,590					
173	Glasgow City Schools	-	57,519,833	57,519,833					
180	Harlan City Schools	-	16,002,175	16,002,175					
182	Hazard Independent Schools	-	23,014,541	23,014,541					
190	Jackson City Schools	-	5,955,877	5,955,877					
191	Jenkins City Schools	-	10,088,482	10,088,482					
206	Ludlow City Schools	-	24,185,386	24,185,386					
210	Mayfield City Schools	-	39,234,078	39,234,078					
214	Middlesboro City Schools	-	23,857,563	23,857,563					
221	Murray City Schools	-	42,227,349	42,227,349					
222	Newport City Schools	-	48,622,018	48,622,018					
224	Owensboro City Schools	-	133,166,678	133,166,678					
226	Paducah City Schools	-	82,109,281	82,109,281					
227	Paintsville City Schools	-	20,117,329	20,117,329					
228	Paris City Schools	-	17,173,189	17,173,189					



Schedule B (continued)

Code	Employer	June 30, 2022			Deferred Outflows of Resources				
		Employer's Proportionate Share of Net Pension Liability	State's Proportionate Share of Net Pension Liability	Total Net Pension Liability	Difference Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Outflows of Resources
230	Pikeville City Schools	-	35,043,194	35,043,194					
231	Pineville City Schools	-	11,914,635	11,914,635					
235	Raceland City Schools	-	26,088,793	26,088,793					
238	Russell City Schools	-	53,932,245	53,932,245					
239	Russellville City Schools	-	24,514,565	24,514,565					
240	Science Hill City Schools	-	9,836,728	9,836,728					
246	Somerset City Schools	-	37,906,183	37,906,183					
247	Southgate City Schools	-	6,663,366	6,663,366					
258	Walton-Verona Independent Schools	-	47,266,000	47,266,000					
260	Williamsburg City Schools	-	17,487,798	17,487,798					
261	Williamstown City Schools	-	18,091,941	18,091,941					
870	Ohio Valley Educational Cooperative	-	13,072,435	13,072,435					
871	West Kentucky Educational Cooperative	-	5,073,042	5,073,042					
872	Southeast South-Central Educational Cooperative	-	2,983,784	2,983,784					
890	Green River Regional Educational Cooperative	-	5,394,089	5,394,089					
891	Central KY Special Education Cooperative	-	2,246,139	2,246,139					
892	KY Valley Educational Cooperative	-	3,530,833	3,530,833					
894	KY Educational Development Corporation	-	13,186,453	13,186,453					
895	Northern KY Cooperative for Educational Services	-	8,104,432	8,104,432					
	Total - Local School Districts	\$ -	\$ 16,691,929,354	\$ 16,691,929,354					
	Total Non University	\$ 91,430,811	\$ 16,850,334,179	\$ 16,941,764,990	\$ 455,735	\$ 8,123,630	\$ 6,164,135	\$ 2,324,333	\$ 17,067,833
	State's Proportionate Share of Outflow s/Inflow s				\$ 69,145,197	\$ 1,535,932,249	\$ 1,163,271,951	\$ 72,354,068	\$ 2,840,703,465



Schedule B (continued)

CodeEmployer		Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of									
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense					
Local School Districts and Educational Cooperatives																
1	Adair County Schools						\$	-	\$	1,942,741	\$	1,942,741	\$	-	\$	1,942,741
2	Allen County Schools							-		2,395,937		2,395,937		-		2,395,937
3	Anderson County Schools							-		3,041,007		3,041,007		-		3,041,007
4	Ballard County Schools							-		946,144		946,144		-		946,144
5	Barren County Schools							-		3,991,989		3,991,989		-		3,991,989
6	Bath County Schools							-		1,424,051		1,424,051		-		1,424,051
7	Bell County Schools							-		1,080,216		1,080,216		-		1,080,216
8	Boone County Schools							-		20,411,180		20,411,180		-		20,411,180
9	Bourbon County Schools							-		2,218,431		2,218,431		-		2,218,431
10	Boyd County Schools							-		2,833,339		2,833,339		-		2,833,339
11	Boyle County Schools							-		2,797,684		2,797,684		-		2,797,684
12	Bracken County Schools							-		986,630		986,630		-		986,630
13	Breathitt County Schools							-		1,418,032		1,418,032		-		1,418,032
14	Breckinridge County Schools							-		1,891,193		1,891,193		-		1,891,193
15	Bullitt County Schools							-		11,464,962		11,464,962		-		11,464,962
16	Butler County Schools							-		1,590,249		1,590,249		-		1,590,249
17	Caldwell County Schools							-		1,279,474		1,279,474		-		1,279,474
18	Calloway County Schools							-		2,510,594		2,510,594		-		2,510,594
19	Campbell County Schools							-		4,705,216		4,705,216		-		4,705,216
20	Carlisle County Schools							-		593,145		593,145		-		593,145
21	Carroll County Schools							-		1,757,022		1,757,022		-		1,757,022
22	Carter County Schools							-		3,178,119		3,178,119		-		3,178,119
23	Casey County Schools							-		1,640,851		1,640,851		-		1,640,851
24	Christian County Schools							-		5,666,987		5,666,987		-		5,666,987
25	Clark County Schools							-		4,366,800		4,366,800		-		4,366,800
26	Clay County Schools							-		2,334,657		2,334,657		-		2,334,657
27	Clinton County Schools							-		1,201,040		1,201,040		-		1,201,040
28	Crittenden County Schools							-		1,033,735		1,033,735		-		1,033,735
29	Cumberland County Schools							-		737,258		737,258		-		737,258
30	Daviess County Schools							-		10,173,118		10,173,118		-		10,173,118
31	Edmonson County Schools							-		1,512,069		1,512,069		-		1,512,069
32	Elliott County Schools							-		889,646		889,646		-		889,646
33	Estill County Schools							-		1,782,110		1,782,110		-		1,782,110
34	Fayette County Schools							-		49,844,521		49,844,521		-		49,844,521
35	Fleming County Schools							-		1,820,650		1,820,650		-		1,820,650
36	Floyd County Schools							-		4,053,831		4,053,831		-		4,053,831
37	Franklin County Schools							-		5,956,981		5,956,981		-		5,956,981
38	Fulton County Schools							-		460,271		460,271		-		460,271
39	Gallatin County Schools							-		1,321,999		1,321,999		-		1,321,999
40	Garrard County Schools							-		1,997,249		1,997,249		-		1,997,249



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
41	Grant County Schools						-	2,828,173	2,828,173	-	2,828,173
42	Graves County Schools						-	3,078,849	3,078,849	-	3,078,849
43	Grayson County Schools						-	2,929,761	2,929,761	-	2,929,761
44	Green County Schools						-	1,456,702	1,456,702	-	1,456,702
45	Greenup County Schools						-	2,346,713	2,346,713	-	2,346,713
46	Hancock County Schools						-	1,452,753	1,452,753	-	1,452,753
47	Hardin County Schools						-	12,855,892	12,855,892	-	12,855,892
48	Harlan County Schools						-	2,566,430	2,566,430	-	2,566,430
49	Harrison County Schools						-	2,233,595	2,233,595	-	2,233,595
50	Hart County Schools						-	2,017,844	2,017,844	-	2,017,844
51	Henderson County Schools						-	5,970,712	5,970,712	-	5,970,712
52	Henry County Schools						-	1,752,159	1,752,159	-	1,752,159
53	Hickman County Schools						-	674,576	674,576	-	674,576
54	Hopkins County Schools						-	5,146,560	5,146,560	-	5,146,560
55	Jackson County Schools						-	1,643,756	1,643,756	-	1,643,756
56	Jefferson County Schools						-	119,068,168	119,068,168	-	119,068,168
57	Jessamine County Schools						-	7,425,189	7,425,189	-	7,425,189
58	Johnson County Schools						-	2,872,021	2,872,021	-	2,872,021
59	Kenton County Schools						-	12,059,003	12,059,003	-	12,059,003
60	Knott County Schools						-	1,652,777	1,652,777	-	1,652,777
61	Knox County Schools						-	3,351,053	3,351,053	-	3,351,053
62	Larue County Schools						-	2,041,313	2,041,313	-	2,041,313
63	Laurel County Schools						-	7,008,612	7,008,612	-	7,008,612
64	Lawrence County Schools						-	2,108,291	2,108,291	-	2,108,291
65	Lee County Schools						-	630,598	630,598	-	630,598
66	Leslie County Schools						-	1,336,428	1,336,428	-	1,336,428
67	Letcher County Schools						-	2,485,926	2,485,926	-	2,485,926
68	Lewis County Schools						-	1,657,974	1,657,974	-	1,657,974
69	Lincoln County Schools						-	2,257,329	2,257,329	-	2,257,329
70	Livingston County Schools						-	1,009,247	1,009,247	-	1,009,247
71	Logan County Schools						-	2,764,749	2,764,749	-	2,764,749
72	Lyon County Schools						-	725,271	725,271	-	725,271
73	Madison County Schools						-	8,383,630	8,383,630	-	8,383,630
74	Maggoffin County Schools						-	1,330,706	1,330,706	-	1,330,706
75	Marion County Schools						-	3,008,417	3,008,417	-	3,008,417
76	Marshall County Schools						-	4,055,802	4,055,802	-	4,055,802
77	Martin County Schools						-	1,269,896	1,269,896	-	1,269,896
78	Mason County Schools						-	2,121,348	2,121,348	-	2,121,348
79	McCracken County Schools						-	6,215,702	6,215,702	-	6,215,702
80	McCreary County Schools						-	2,197,396	2,197,396	-	2,197,396



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
81	McLean County Schools						-	1,277,805	1,277,805	-	1,277,805
82	Meade County Schools						-	3,623,171	3,623,171	-	3,623,171
83	Menifee County Schools						-	895,251	895,251	-	895,251
84	Mercer County Schools						-	2,430,652	2,430,652	-	2,430,652
85	Metcalf County Schools						-	1,045,531	1,045,531	-	1,045,531
86	Monroe County Schools						-	1,508,707	1,508,707	-	1,508,707
87	Montgomery County Schools						-	3,248,508	3,248,508	-	3,248,508
88	Morgan County Schools						-	1,499,698	1,499,698	-	1,499,698
89	Muhlenberg County Schools						-	3,422,362	3,422,362	-	3,422,362
90	Nelson County Schools						-	4,092,736	4,092,736	-	4,092,736
91	Nicholas County Schools						-	760,326	760,326	-	760,326
92	Ohio County Schools						-	2,673,005	2,673,005	-	2,673,005
93	Oldham County Schools						-	11,426,725	11,426,725	-	11,426,725
94	Owen County Schools						-	1,347,236	1,347,236	-	1,347,236
95	Owsley County Schools						-	549,191	549,191	-	549,191
96	Pendleton County Schools						-	1,596,750	1,596,750	-	1,596,750
97	Perry County Schools						-	2,911,068	2,911,068	-	2,911,068
98	Pike County Schools						-	6,376,370	6,376,370	-	6,376,370
99	Powell County Schools						-	1,675,721	1,675,721	-	1,675,721
100	Pulaski County Schools						-	6,430,532	6,430,532	-	6,430,532
101	Robertson County Schools						-	331,087	331,087	-	331,087
102	Rockcastle County Schools						-	2,297,760	2,297,760	-	2,297,760
103	Rowan County Schools						-	2,476,725	2,476,725	-	2,476,725
104	Russell County Schools						-	2,267,624	2,267,624	-	2,267,624
105	Scott County Schools						-	8,329,783	8,329,783	-	8,329,783
106	Shelby County Schools						-	6,450,349	6,450,349	-	6,450,349
107	Simpson County Schools						-	2,510,792	2,510,792	-	2,510,792
108	Spencer County Schools						-	2,643,313	2,643,313	-	2,643,313
109	Taylor County Schools						-	2,137,148	2,137,148	-	2,137,148
110	Todd County Schools						-	1,421,937	1,421,937	-	1,421,937
111	Trigg County Schools						-	1,814,372	1,814,372	-	1,814,372
112	Trimble County Schools						-	895,189	895,189	-	895,189
113	Union County Schools						-	1,776,295	1,776,295	-	1,776,295
114	Warren County Schools						-	13,508,358	13,508,358	-	13,508,358
115	Washington County Schools						-	1,419,021	1,419,021	-	1,419,021
116	Wayne County Schools						-	2,335,794	2,335,794	-	2,335,794
117	Webster County Schools						-	1,679,299	1,679,299	-	1,679,299
118	Whitley County Schools						-	3,275,622	3,275,622	-	3,275,622
119	Wolfe County Schools						-	1,113,769	1,113,769	-	1,113,769
120	Woodford County Schools						-	3,394,333	3,394,333	-	3,394,333



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of	Total Pension Expense
122	Anchorage City Schools						-	726,198	726,198	-	726,198
124	Ashland City Schools						-	2,606,645	2,606,645	-	2,606,645
125	Augusta City Schools						-	279,335	279,335	-	279,335
126	Barbourville City Schools						-	526,155	526,155	-	526,155
127	Bardstown City Schools						-	2,987,815	2,987,815	-	2,987,815
128	Beechwood Independent Schools						-	1,259,551	1,259,551	-	1,259,551
129	Bellevue City Schools						-	645,076	645,076	-	645,076
131	Berea City Schools						-	1,166,677	1,166,677	-	1,166,677
134	Bowling Green City Schools						-	3,779,143	3,779,143	-	3,779,143
136	Burgin City Schools						-	476,795	476,795	-	476,795
140	Campbellsville City Schools						-	1,113,806	1,113,806	-	1,113,806
144	Caverna City Schools						-	699,447	699,447	-	699,447
147	Cloverport City Schools						-	263,139	263,139	-	263,139
150	Corbin City Schools						-	2,376,639	2,376,639	-	2,376,639
151	Covington City Schools						-	3,800,239	3,800,239	-	3,800,239
154	Danville City Schools						-	1,926,391	1,926,391	-	1,926,391
155	Dawson Springs City Schools						-	519,729	519,729	-	519,729
156	Dayton City Schools						-	904,081	904,081	-	904,081
158	East Bernstadt City Schools						-	441,974	441,974	-	441,974
160	Elizabethtown City Schools						-	2,146,491	2,146,491	-	2,146,491
161	Eminence Independent Schools						-	782,306	782,306	-	782,306
162	Erlanger-Elsmere City Schools						-	2,163,589	2,163,589	-	2,163,589
163	Fairview Independent Schools						-	532,285	532,285	-	532,285
166	Fort Thomas Independent Schools						-	3,120,262	3,120,262	-	3,120,262
167	Frankfort City Schools						-	792,427	792,427	-	792,427
170	Fulton City Schools						-	367,458	367,458	-	367,458
173	Glasgow City Schools						-	2,097,965	2,097,965	-	2,097,965
180	Harlan City Schools						-	583,660	583,660	-	583,660
182	Hazard Independent Schools						-	839,427	839,427	-	839,427
190	Jackson City Schools						-	217,233	217,233	-	217,233
191	Jenkins City Schools						-	367,965	367,965	-	367,965
206	Ludlow City Schools						-	882,132	882,132	-	882,132
210	Mayfield City Schools						-	1,431,015	1,431,015	-	1,431,015
214	Middlesboro City Schools						-	870,175	870,175	-	870,175
221	Murray City Schools						-	1,540,191	1,540,191	-	1,540,191
222	Newport City Schools						-	1,773,428	1,773,428	-	1,773,428
224	Owensboro City Schools						-	4,857,091	4,857,091	-	4,857,091
226	Paducah City Schools						-	2,994,835	2,994,835	-	2,994,835
227	Paintsville City Schools						-	733,755	733,755	-	733,755
228	Paris City Schools						-	626,371	626,371	-	626,371



Schedule B (continued)

Code	Employer	Deferred Inflows of Resources					Deferred Amounts from Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions				
		Differences Between Expected and Actual Experience	Change of Assumptions	Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments	Changes in Proportion and Differences Between Employer Contributions and Proportionate Share of Contributions	Total Deferred Inflows of Resources	Net Employer Pension Expense	Revenue State Support	Proportionate Share of Plan Pension Expense	Employer Contributions and Proportionate Share of Contributions	Total Pension Expense
230	Pikeville City Schools						-	1,278,157	1,278,157	-	1,278,157
231	Pineville City Schools						-	434,572	434,572	-	434,572
235	Raceland City Schools						-	951,557	951,557	-	951,557
238	Russell City Schools						-	1,967,112	1,967,112	-	1,967,112
239	Russellville City Schools						-	894,139	894,139	-	894,139
240	Science Hill City Schools						-	358,783	358,783	-	358,783
246	Somerset City Schools						-	1,382,581	1,382,581	-	1,382,581
247	Southgate City Schools						-	243,038	243,038	-	243,038
258	Walton-Verona Independent Schools						-	1,723,969	1,723,969	-	1,723,969
260	Williamsburg City Schools						-	637,846	637,846	-	637,846
261	Williamstown City Schools						-	659,881	659,881	-	659,881
870	Ohio Valley Educational Cooperative						-	476,801	476,801	-	476,801
871	West Kentucky Educational Cooperative						-	185,033	185,033	-	185,033
872	Southeast South-Central Educational Cooperative						-	108,830	108,830	-	108,830
890	Green River Regional Educational Cooperative						-	196,743	196,743	-	196,743
891	Central KY Special Education Cooperative						-	81,925	81,925	-	81,925
892	KY Valley Educational Cooperative						-	128,783	128,783	-	128,783
894	KY Educational Development Corporation						-	480,960	480,960	-	480,960
895	Northern KY Cooperative for Educational Services						-	295,599	295,599	-	295,599
Total - Local School Districts							\$ 0	\$ 608,817,569	\$ 608,817,569	\$ -	\$ 608,817,569
Total Non University		\$ -	\$ -	\$ -	\$ -	\$ 39,982,998	\$ 3,334,825	\$ 614,595,192	\$ 617,930,017	\$ (20,484,691)	\$ 597,445,326
State's Proportionate Share of Outflow s/Inflow s		\$ -	\$ -	\$ -	\$ -	\$ 2,105,994				\$ 50,387,827	



Schedule C – Schedules of Remaining Deferred Outflows and (Inflows)

CodeEmployer		NPL Sensitivity		Recognition of Existing Deferred Outflows (Inflows) of Resources for													
		Less 1% - 6.10%	Plus 1% - 8.10%	Future Plan Years Ending June 30,													
		Employer's Proportionate Share of Net Pension Liability	Employer's Proportionate Share of Net Pension Liability	2024	2025	2026	2027	2028	Thereafter								
University Employers																	
263	Eastern Kentucky University	\$	126,801,569	\$	76,480,735	\$	2,254,600	\$	2,898,778	\$	(2,872,977)	\$	5,431,562	\$	-	\$	-
266	Kentucky State University		29,662,966		17,891,304		308,641		(243,548)		(1,337,455)		1,333,030		-		-
269	Morehead State University		64,908,523		39,149,765		(5,723)		361,445		(1,480,826)		2,769,418		-		-
270	Murray State University		68,368,750		41,236,810		(101,309)		920,318		(1,294,727)		2,893,590		-		-
273	Western Kentucky University		96,495,188		58,201,353		(4,983,492)		(1,386,549)		(3,188,385)		4,207,486		-		-
500	KCTCS Central Office - University		34,173,219		20,611,676		(209,158)		(140,505)		(795,089)		1,456,765		-		-
	Total University	\$	420,410,215	\$	253,571,643	\$	(2,736,441)	\$	2,409,939	\$	(10,969,459)	\$	18,091,851	\$	-	\$	-
	State's Proportionate Share of NPL - University	\$	546,330,708	\$	329,520,955	\$	30,905,617	\$	24,248,423	\$	7,252,761	\$	21,364,534	\$	-	\$	-
Non-University Employers																	
801	KY High School Athletic Association	\$	-	\$	-	\$	(401,863)	\$	(421,035)	\$	(89,494)	\$	-	\$	-	\$	-
805	KY School Boards Association		2,117,744		1,277,323		(296,201)		(181,778)		(160,158)		85,432		-		-
806	KY Education Association		347,876		209,823		(15,507)		(16,810)		(25,625)		14,034		-		-
807	KY Academic Association		223,990		135,100		(10,694)		(11,157)		(16,701)		9,037		-		-
809	Jefferson County Teachers' Association		104,860		63,247		(4,367)		(4,660)		(6,854)		4,231		-		-
		\$	2,794,470	\$	1,685,493	\$	(728,632)	\$	(635,440)	\$	(298,832)	\$	112,734	\$	-	\$	-
State Agencies																	
301	Technical Education District - Madisonville	\$	10,696,391	\$	6,451,559	\$	(975,569)	\$	(640,442)	\$	(657,007)	\$	431,503	\$	-	\$	-
302	Technical Education District - Bowling Green		10,405,593		6,276,164		(895,723)		(823,442)		(933,929)		419,772		-		-
303	Technical Education District - Elizabethtown		-		-		-		-		-		-		-		-
304	Technical Education District - Frankfort		8,144,937		4,912,642		(646,078)		(531,009)		(748,905)		328,575		-		-
305	Technical Education District - Hazard		9,223,159		5,562,975		(1,051,258)		(888,646)		(861,172)		372,073		-		-
308	Adult Education - Workforce Investment		214,261		129,232		(142,549)		(119,426)		(57,145)		8,643		-		-
316	Office of Career and Technical Education		3,715,295		2,240,891		21,005		(195,824)		(262,121)		149,879		-		-
318	Department for Vocational Rehabilitation		18,037,255		10,879,223		(760,689)		(830,912)		(1,232,356)		727,641		-		-
320	School for the Blind		4,634,173		2,795,115		(457,255)		(321,383)		(56,015)		186,948		-		-
330	School for the Deaf		3,342,122		2,015,811		(552,331)		9,489		(411,740)		134,826		-		-
345	Department of Education		28,398,310		17,128,523		(598,443)		(455,926)		(1,498,115)		1,145,617		-		-
400	KCTCS CENTRAL OFFICE		17,067,136		10,294,093		(3,835,128)		(2,664,705)		(1,797,750)		688,505		-		-
728	Department of Corrections		8,648		5,216		(35,234)		(27,801)		(23,792)		349		-		-
		\$	113,887,280	\$	68,691,444	\$	(9,929,252)	\$	(7,490,027)	\$	(8,540,047)	\$	4,594,331	\$	-	\$	-
	State's Proportionate Share of NPL - Non-University	\$	21,503,982,315	\$	12,970,189,457	\$	931,596,629	\$	844,535,854	\$	111,201,191	\$	867,492,462	\$	-	\$	-



Schedule D – Summary of Main Plan Provisions

AS INTERPRETED FOR ACCOUNTING AND REPORTING VALUATION PURPOSES

The Teachers' Retirement System of the State of Kentucky was established on July 1, 1940. The valuation took into account amendments to the System effective through June 30, 2022. The following summary describes the main benefit and contribution provisions of the System as interpreted for the valuation.

1 - DEFINITIONS

"Final average salary" means the average of the five highest annual salaries which the member has received for service in a covered position and on which the member has made contributions or on which the public board, institution or agency has picked up the member contributions. For a member hired before January 1, 2022, who retires after attaining age 55 with 27 years of service, "final average salary" means the average of the three highest annual salaries.

2 - BENEFITS

Service Retirement Allowance

Members Before 7/1/2008

Condition for Allowance	Completion of 27 years of service or attainment of age 55 and 5 years of service.
Amount of Allowance	The annual retirement allowance for non-university members is equal to: (a) 2.0% of final average salary multiplied by service before July 1, 1983, plus (b) 2.5% of final average salary multiplied by service after July 1, 1983. (c) For individuals who become members of the Retirement System on or after July 1, 2002 and have less than 10 years of service at retirement, the retirement allowance is 2.0% of final average salary multiplied by service. If, however, they have 10 or more years, they receive a benefit percentage of 2.5% for all years of service up to 30 years. (d) For members retiring on or after July 1, 2004, the retirement allowance formula is 3.0% of final average salary for each year of service credit earned in excess of 30 years.



Schedule D – Summary of Main Plan Provisions

The annual retirement allowance for university members is equal to 2.0% of final average salary multiplied by all years of service.

The annual allowance is reduced by 5% per year from the earlier of age 60 or the date the member would have completed 27 years of service.

The minimum annual service allowance for all members is \$440 multiplied by credited service.

Members on and after 7/1/2008

Condition for Retirement

Completion of 27 years of service, attainment of age 60 and 5 years of service or attainment of age 55 and 10 years of service.

Amount of Allowance

The annual retirement allowance for non-university members is equal to service multiplied by:

- 1.7% of final average salary if service is 10 years or less.
- 2.0% of final average salary if service is greater than 10 years and no more than 20 years.
- 2.3% of final average salary if service is greater than 20 years but no more than 26 years.
- 2.5% of final average salary if service is greater than 26 years but no more than 30 years.
- 3.0% of final average salary for years of service greater than 30 years.

The annual retirement allowance for university members is equal to:

- 1.5% of final average salary if service is 10 years or less.
- 1.7% of final average salary if service is greater than 10 years and no more than 20 years.
- 1.85% of final average salary if service is greater than 20 years but less than 27 years.
- 2.0% of final average salary if service is greater than or equal to 27 years.

The annual allowance is reduced by 6% per year from the earlier of age 60 or the date the member would have completed 27 years of service.



Schedule D – Summary of Main Plan Provisions

Members on and after 1/1/2022

Condition for Retirement

Attainment of age 57 and 10 years of service or attainment of age 65 and 5 years of service.

Amount of Allowance

Foundational Benefit

The annual foundational benefit for members is equal to service times a multiplier times final average salary.

The multiplier for non-university members is shown in the following table:

Age	Years of Service			
	5-9.99	10-19.99	20-29.99	30 or more
57-60	-	1.70%	1.95%	2.20%
61	-	1.74%	1.99%	2.24%
62	-	1.78%	2.03%	2.28%
63	-	1.82%	2.07%	2.32%
64	-	1.86%	2.11%	2.36%
65 and over	1.90%	1.90%	2.15%	2.40%

The multiplier for university members is shown in the following table:

Age	Years of Service			
	5-9.99	10-19.99	20-29.99	30 or more
57-60	-	0.70%	0.95%	1.20%
61	-	0.74%	0.99%	1.24%
62	-	0.78%	1.03%	1.28%
63	-	0.82%	1.07%	1.32%
64	-	0.86%	1.11%	1.36%
65 and over	0.90%	0.90%	1.15%	1.40%

The annual foundational benefit is reduced by 6% per year from the earlier of age 60 or the date the member would have completed 30 years of service.

Supplemental Benefit

The annual supplemental benefit is equal to the account balance which includes member and employer contributions and interest credited annually on June 30. Options include annuitizing the balance or receiving the balance as a lump sum either at the time of retirement or at a later date.



Schedule D – Summary of Main Plan Provisions

Disability Retirement Allowance

Condition for Allowance

Totally and permanently incapable of being employed as a teacher and under age 60 but after completing 5 years of service.

Amount of Allowance

The disability allowance is equal to the greater of the service retirement allowance or 60% of the member's final average salary. The disability allowance is payable over an entitlement period equal to 25% of the service credited to the member at the date of disability or five years, whichever is longer. After the disability entitlement period has expired and if the member remains disabled, he will be retired under service retirement. The service retirement allowance will be computed with service credit given for the period of disability retirement. The allowance will not be less than \$6,000 per year. The service retirement allowance will not be reduced for commencement of the allowance before age 60 or the completion of 27 years of service.

Benefits Payable on Separation from Service

Any member who ceases to be in service is entitled to receive his contributions with allowable interest. A member who has completed 5 years of creditable service and leaves his contributions with the System may be continued in the membership of the System after separation from service, and file application for service retirement after the attainment of age 60.

Life Insurance

A separate Life Insurance fund has been created as of June 30, 2000 to pay benefits on behalf of deceased TRS active and retired members.



Schedule D – Summary of Main Plan Provisions

Death Benefits

A surviving spouse of an active member with less than 10 years of service may elect to receive an annual allowance of \$2,880 except that if income from other sources exceeds \$6,600 per year the annual allowance will be \$2,160.

A surviving spouse of an active member with 10 or more years of service may elect to receive an allowance which is the actuarial equivalent of the allowance the deceased member would have received upon retirement. The allowance will commence on the date the deceased member would have been eligible for service retirement and will be payable during the life of the spouse.

If the deceased member is survived by unmarried children under age 18 the following schedule of annual allowances applies:

<u>Number of Children</u>	<u>Annual Allowance</u>
1	\$ 2,400
2	4,080
3	4,800
4 or more	5,280

The allowances are payable until a child attains age 18, or age 23 if a full-time student.

If the member has no eligible survivor, a refund of his accumulated contributions is payable to his estate.

Options

In lieu of the regular Option 1, a retirement allowance payable in the form of a life annuity with refundable balance, any member before retirement may elect to receive a reduced allowance which is actuarially equivalent to the full allowance, in one of the following forms:

Option 2. A single life annuity payable during the member's lifetime with payments for 10 years certain.

Option 3. At the death of the member his allowance is continued throughout the life of his beneficiary.

Option 3(a). At the death of the beneficiary designated by the member under Option 3, the member's benefit will revert to what would have been paid had he not selected an option.

Option 4. At the death of the member one half of his allowance is continued throughout the life of his beneficiary.

Option 4(a). At the death of the beneficiary designated by the member under Option 4, the member's benefit will revert to what would have been paid had he not selected an option.



Schedule D – Summary of Main Plan Provisions

Post-Retirement Adjustments

The retirement allowance of each retired member and of each beneficiary shall be increased by 1.50% each July 1.

3 - CONTRIBUTIONS

Member Contributions

Members before 1/1/2022

University members contribute 7.625% of salary to the Retirement System. Non-university members contribute 9.105% of salary to the Retirement System. Member contributions are picked up by the employer.

Members on and after 1/1/2022

University members contribute 5.00% of salary to the Retirement System for the foundational benefit. Non-university members contribute 9.00% of salary to the Retirement System for the foundational benefit. All members contribute an additional 2.00% of salary to the supplemental benefit account. Employers also contribute 2.00% to the member's supplemental account. Member contributions are picked up by the employer.



Schedule E – Statement of Actuarial Assumptions and Methods

The assumptions and methods used in the valuation were selected based on the actuarial experience study prepared as of June 30, 2020, submitted to, and adopted by the Board on September 20, 2021.

INVESTMENT RATE OF RETURN: 7.10% per annum, compounded annually, including price inflation at 2.50% per annum.

SALARY INCREASES: Representative values of the assumed annual rates of future salary increases are as follows and include wage inflation at 2.75% per annum:

Service	Annual Rate
1	7.50%
2	5.50%
3	5.00%
4	5.00%
5	5.00%
6	4.75%
7	4.50%
8	4.25%
9	4.00%
10	4.00%
11	4.00%
12	3.75%
13	3.50%
14	3.50%
15	3.25%
16	3.25%
>=17	3.00%



Schedule E – Statement of Actuarial Assumptions and Methods

SEPARATIONS FROM SERVICE: Representative values of the assumed annual rates of death, disability, and withdrawal, are as follows:

Age	Annual Rates for Males				
	Death*	Disability	Withdrawal		
			Years of Service		
			0 – 4	5 – 9	10+
20	0.031%	0.01%	20.00%		
25	0.020	0.01	11.00	3.25%	
30	0.032	0.01	10.00	3.60	2.80%
35	0.042	0.02	11.00	3.60	1.55
40	0.052	0.07	12.50	4.00	1.25
45	0.072	0.18	11.50	4.00	1.10
50	0.115	0.28	14.25	4.50	1.10
55	0.187	0.40	15.00	6.00	1.25
60	0.304	0.50	15.00	0.00	0.00
62	0.366	0.50	15.00	0.00	0.00
65	0.478	0.50	20.00	0.00	0.00
70	0.723	0.50	20.00	0.00	0.00
75	1.141	0.50	20.00	0.00	0.00

* Base Rates

AGE	Annual Rates for Females				
	DEATH*	DISABILITY	Withdrawal		
			Years of Service		
			0 – 4	5 – 9	10+
20	0.014%	0.01%	13.00%		
25	0.010	0.01	9.00	4.50%	
30	0.013	0.02	11.00	4.25	1.00%
35	0.022	0.06	11.00	3.50	1.60
40	0.030	0.10	12.50	4.00	1.20
45	0.041	0.24	13.50	4.00	1.00
50	0.058	0.38	15.00	4.50	1.25
55	0.091	0.50	15.00	5.00	1.60
60	0.141	0.60	17.50	0.00	0.00
62	0.166	0.62	17.50	0.00	0.00
65	0.212	0.65	25.00	0.00	0.00
70	0.344	0.65	25.00	0.00	0.00
75	0.639	0.65	25.00	0.00	0.00

* Base Rates



Schedule E – Statement of Actuarial Assumptions and Methods

SEPARATIONS FROM SERVICE: Representative values of the assumed annual rates of retirement, are as follows:

Members Prior to January 1, 2022				
	Annual Rates for Males		Annual Rates for Females	
AGE	Before 27 Years of Service	After 27 Years of Service*	Before 27 Years of Service	After 27 Years of Service**
45		17.0%		17.0%
50		25.0		20.0
55	5.25%	40.0	5.0%	50.0
60	13.50	33.0	15.0	40.0
62	15.00	30.0	15.0	40.0
65	20.00	30.0	25.0	40.0
70	25.00	30.0	30.0	35.0
75	100.00	100.0	100.0	100.0

*Plus 8.5% in year when first eligible for unreduced retirement with 27 years of service

**Plus 10.0% in year when first eligible for unreduced retirement with 27 years of service

Members on and after January 1, 2022						
	Annual Rates for Males			Annual Rates for Females		
AGE	Before 20 Years of Service	20-29 Years of Service	30 or More Years of Service*	Before 20 Years of Service	20-29 Years of Service	30 or More Years of Service*
57	3.0%	5.0%	25.0%	3.0%	5.0%	30.0%
60	8.5	13.5	25.0	10.0	15.0	30.0
62	12.0	15.0	25.0	12.0	15.0	25.0
65	20.0	20.0	25.0	25.0	25.0	30.0
70	25.0	25.0	25.0	30.0	30.0	30.0
75	100.0	100.0	100.0	100.0	100.0	100.0

* Plus 20.0% in the first year attaining 30 years of service; plus 25% at age 65 in the first year attaining 30 years of service



Schedule E – Statement of Actuarial Assumptions and Methods

DEATHS AFTER RETIREMENT: Mortality rates were based on the Pub2010 (Teachers Benefit-Weighted) Mortality table, projected generationally based on Projection Scale MP-2020, with various set-forwards, set-backs, and adjustments for each of the groups. Below is a summary of the specific mortality tables and adjustments for each of the groups:

<u>Group</u>	<u>Membership Table</u>	<u>Set Forward (+)/ Setback (-)</u>	<u>Adjustment to Rates</u>	<u>Projection Scale</u>
Service Retirees	Teachers Benefit-Weighted	Male: +2 Female: +2	Male: 102%, Female: 98%	75% of MP-2020
Contingent Annuitants	Teachers Benefit-Weighted	Male: +2 Female: None	Male: 101%, Female: 100%	75% of MP-2020
Disabled Retirees	Teachers Benefit-Weighted	Male: +1 Female: -2	Male: 96%, Female: 94%	75% of MP-2020
Actives	Teachers Benefit-Weighted	Male: +1 Female: -2	Male: 100%, Female: 98%	75% of MP-2020

Representative values of the assumed annual rates of death for service retirees, contingent annuitants, and disability retirees are shown below:

Age	Annual Base Rates of Death For					
	Service Retirees		Contingent Annuitants		Disability Retirees	
	Male	Female	Male	Female	Male	Female
45	0.0836%	0.0568%	0.6020%	0.2620%	1.0646%	0.7755%
50	0.1357	0.0843	0.7545	0.3200	1.6435	1.1910
55	0.2744	0.2215	0.8959	0.4460	2.1130	1.5416
60	0.4427	0.3322	1.1413	0.6220	2.4806	1.7616
65	0.7579	0.5351	1.6443	0.8990	3.0653	1.9834
70	1.4066	0.9682	2.5876	1.3530	3.9485	2.4149
75	2.6816	1.8649	4.1006	2.1510	5.3155	3.2562
80	5.0500	3.5819	6.5630	3.5730	7.6118	4.7705
85	9.4585	6.8071	10.7717	6.3160	11.2109	7.3423
90	16.9116	12.6077	17.7306	11.3290	16.9738	11.1653
95	26.9423	21.5110	26.8670	18.5900	24.2170	15.7356



Schedule E – Statement of Actuarial Assumptions and Methods

ASSETS: Market Value

ADMINISTRATIVE EXPENSE LOAD: 0.32% of payroll

PERCENT MARRIED: 100%, with females 3 years younger than males

PART-TIMERS: Assume 0.25 years of accrual service per year

LOADS: Unused sick leave: 3% of active liability



Schedule F – Funding Policy

INTRODUCTION

Pursuant to the provisions of KRS 161.250, the Board of Trustees (board) of the Teachers' Retirement System of the State of Kentucky (TRS) is vested with the responsibility for the general administration and management of the retirement system. The board may adopt procedures necessary to conduct the business of the retirement system as needed. The applicable provisions of the Kentucky Revised Statutes shall control if any inconsistency exists between state law and this policy.

The board's policy is to achieve full funding within specific, closed 30-year periods without extending or resetting those periods. The underpinning of this is to request, as a minimum appropriation, amounts consistent with the annual actuarial valuations. The actuary focuses on a long investment horizon to promote cost stability, predictability and equity among current and future taxpayers. This policy, as detailed below for each trust, confirms the board's process for recommending annual appropriations payable and the primary actuarial assumptions and methodologies associated with calculating the annual appropriations. Other related actuarial assumptions and methodologies not listed in this policy are reported in annual valuations, the most recent experience study or resolutions adopted by the board.

Also, the board may provide options for funding the Retirement Annuity Trust that could accelerate the paying of its unfunded liability ahead of the amortization schedule and reduce costs for the state thereafter to the normal cost.

This policy is in keeping with the board's direction for the Investment Committee to continue investing for maximum returns within the parameters of prudent risk.

This policy will be reviewed regularly and amended or revised as necessary.

BACKGROUND

The level of benefits and funding for teachers' pension and health care are mandated in law by the General Assembly. Also, state law requires that the board, as fiduciary, adopt reasonable actuarial assumptions based upon the advice of a qualified independent actuary and other professionals. Additionally, state law mandates that actuarial assumptions be set using rigorous and transparent processes that adhere to recognized actuarial and financial standards. These processes reflect national best practices, including the Government Finance Officers Association's best practice guidelines for valuations, experience studies and actuarial audits.

TRS evaluates actuarial assumptions (demographic and economic) each year during the actuarial valuation. Several other regular reviews are conducted as well. The return assumptions are reviewed annually by the board's Investment Committee as it evaluates asset allocation. Every five years, the actuary conducts an experience investigation and recommends to the board adjustments to assumptions based upon past trends, current behavior and forecasted experience. TRS also conducts an actuarial audit (an audit of the actuary) at least every 10 years to ensure that assumptions are reasonable and appropriately reflect the cost of the plans. In the investment context, TRS conducts an asset liability modeling study at least every five years — and more often if material changes warrant an updated study. The annual valuation determines the additional required employer contribution that is included in TRS's biennial budget requests.



Schedule F – Funding Policy

The amount that the state owes for benefits consists of two components, normal cost and amortization of unfunded liability. The normal cost is included in the statutory payroll contributions made by members, the state and employers. The amortization of the unfunded liability includes the balance of the statutory payroll contributions paid by the state and employers above amounts needed for the normal cost. In addition, TRS requests additional contributions necessary to amortize the unfunded liability. The funding for medical insurance is outlined by statute as a shared responsibility of employees, employers, retirees and the state.

State law requires, and the TRS board uses, a qualified independent actuary that follows the generally accepted actuarial standards of practice. Some factors considered by the actuary include the length of amortization periods; the projected pattern of cash flows; current and projected interest rates and rates of inflation; and historical and projected returns of the funds. The actuary focuses on a long investment horizon to promote cost stability, predictability and equity among current and future taxpayers.

1. Retirement Annuity Trust Appropriations

KRS 161.714 provides that the retirement benefits promised to members of TRS are “an inviolable contract of the Commonwealth.” To satisfy this solemn commitment, the Commonwealth of Kentucky (state) is required to pay annual retirement appropriations necessary to fund the benefit requirements of retirement system members. All employers participating in TRS are responsible for paying the fixed employer contribution rate set forth in state law. However, the state – as plan guarantor – solely is responsible for paying the additional annual retirement appropriations necessary to keep the retirement system actuarially sound and able to satisfy the contract with members to provide promised benefits under KRS 161.550.

Beginning in 2019, the state made its full actuarially determined contribution. Prior to that, from fiscal year 2009 through 2018, the state did not pay the full annual retirement appropriations necessary to prefund the benefit requirements of members of the retirement system. Over this period, primarily because of the failure to fund, the state’s annual retirement appropriations grew.

Fiscal Year	Requested Minimum Additional Payment for Unfunded Liability	Appropriated
2009	\$ 60,499,800	\$ 0
2010	82,331,200	0
2011	121,457,000	0
2012	208,649,000	0
2013	260,980,000	0
2014	299,420,000	0
2015	386,400,000	0
2016	487,400,000	0
2017	520,372,000	498,537,600
2018	512,883,000	474,724,700
2019	553,597,000	553,597,000
2020	538,253,000	538,253,000
2021	551,092,000	551,092,000
2022	579,208,000	

(Source: TRS Report of the Actuary on the Annual Valuation Prepared as of June 30, 2019)



Schedule F – Funding Policy

The board always has acted as required by state law and requested annual retirement appropriations payable by the state that would ensure that the state meets the contractual obligations to members.

Annual Retirement Appropriations Payable by the State

In each biennial budget request, the board will recommend annual retirement appropriations payable by the state to meet the benefit requirements of the members of the retirement system. The annual retirement appropriations payable by the state are the sum of the fixed employer contribution rate set by state law and the additional annual retirement appropriations necessary to fund the benefit requirements of members of the retirement system (KRS 161.550). The recommended additional annual retirement appropriations payable by the state are calculated by the board's actuary based upon the results of an annual valuation preceding the beginning of each biennium (KRS 161.400).

Calculation of Annual Retirement Appropriations Payable by the State

The board will present the actuarially determined annual retirement appropriations payable by the state, which if paid, are the minimum to meet the benefit requirements of the members of the retirement system, consistent with generally accepted actuarial principles. Based upon technical advice from the board's actuary, the board hereby adopts the following principles for calculating the recommended annual retirement appropriations payable by the state:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2014 to amortize the unfunded liability. This is calculated by the actuary as the minimum dollar amount for the state to pay each year, and the amount to be provided by the state shall not be less than the prior year's dollar amount until the plan reaches a funded ratio of 100%;
- D. Use a 20-year closed period to amortize new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

Accelerated Funding Options

In recognition that the state may want to pay off the unfunded liability earlier than the closed amortization period and thereby reduce its costs long-term, the board may provide options for funding over and above the actuarially required minimum. The board will provide the analytical support showing the impact of each of these on the current costs and the potential savings.



Schedule F – Funding Policy

2. Retiree Health Insurance Trust

State law provides for a retiree medical plan (KRS 161.675). Since July 1, 2010, retired teachers, active teachers, local school boards, universities and the state have paid contributions for funding the retiree medical plan in accordance with the Shared Responsibility Solution contained in HB 540 (2010 RS). The contributions mandated by Shared Responsibility will meet the benefit requirements of the members of the retirement system, consistent with generally accepted actuarial principles. Based upon technical advice from the board's actuary, the board hereby adopts the following principles concerning the retiree health insurance plan:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2011 to amortize the unfunded liability;
- D. Use a 20-year closed period to amortize, as a level percentage of pay, new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

3. Life Insurance Trust

State law provides for a life insurance plan for active and retired teachers (KRS 161.655). The life insurance plan is funded by employer contributions. Based upon technical advice from the board's actuary, the board hereby adopts the following principles concerning the life insurance plan:

- A. Use the Entry Age Normal actuarial cost method;
- B. Use a five-year asset smoothing method;
- C. Use a 30-year closed period that began fiscal year 2014, to amortize the unfunded liability;
- D. Use a 20-year closed period to amortize, as a level percentage of pay, new sources of unfunded liability (new sources of unfunded liability are the unfunded liability consisting of all benefit changes, assumption and method changes and experience gains and/or losses that have occurred since the previous valuation); and
- E. Reach a minimum funded ratio of 100% within the closed period adopted by the board.

Adopted December 16, 2013; amended December 9, 2015, September 19, 2016, September 18, 2017, November 14, 2017, September 16, 2019, September 21, 2020